

Singapore Financials

A wealth hub; increasing DBS PT to S\$70, upgrade OCBC and SGX to OW and UOB to N

Singapore's evolution as a financial centre went through a step change this year. This is evident across flows, governance, micro-structure and participation, partly with help from the policymakers. The scale of this change, as well as its second-order implications, are understandably under-appreciated, for now. Hence, we expect a multi-year period of significant improvement in value creation across banks and SGX. This positive view is at the crux of our upgrades to earnings, multiples and ratings. We are increasing our Dec-26 PT for DBS to S\$70, while upgrading SGX and OCBC to OW, and UOB to N.

- **Flows:** EQDP of S\$3.95bn is an important source of YTD fresh funds. Further, the GIP (Global Investor Program) will lead to avg S\$4bn flows p.a. in S\$ assets over the next 5Y, per our calculations. This should accentuate the flows into EQDP (Equity Market Development Programme) seeded funds as well as other S\$ assets. US\$ weakness (DXY -8% YTD) has also helped flows into Singapore (9% y/y S\$ deposit gr in Oct-25). This is analogous to moves in CHF/HKD and respective rates, due to flows into these global WM centres. Singapore's AAA rating, as well as post-GFC build out of WM (OCBC's acquisition of ING Asia PB and DBS rearchitecting PB in 2010-15), are now showing in AuM growth acceleration. Even if the US\$ stabilises, we see flows into SG/S\$ lasting, as HNWI families and businesses (MNC treasuries looking to diversify) work with longer timelines.
- **Governance and market micro-structure:** SGX RegCo is moving towards a more disclosure and market-based regime from a relatively prescriptive framework. Further positives are shifts in governance code that should lead to more listings, and the evolution of regulation of stablecoins and DLT ecosystems. ([link](#))
- **Participation:** Concerted attempts by policymakers to improve market vibrancy are in the early stages of having knock-on effects on retail participation in the Singapore equity market (5% of HH assets). Property ranks high up in household asset allocation (49%) and has done phenomenally well over the last few decades. Hence, as some of the policy initiatives continue, we expect household allocation to Singapore equities to improve.
- **Stock views:** Some of the possible future growth has been discounted, especially at SGX and DBS, both of which are close to all-time high PE multiples. Yet, we recommend staying with the trades, as we think the larger trend has yet to peak (or be fully priced in). We forecast 13/9% WM fee growth for DBS in 2026/27, on top of a firm 29% in 2025 and 13% CAGR in the last 5Y. Our upgrade of OCBC and UOB are based more on industry trends. DBS appears costly when looked at narrowly via a PB/RoE lens, without adjusting for quality of franchise and longevity of payout and buybacks. UOB is going through AQ issues, which may linger. Hence, in the interim, we think OCBC offers a relatively better risk/return trade-off for investors looking to scale up positions in Singapore. Our UOB upgrade is almost entirely due to valuations.
- **DBS - the business:** The bank has restructured to lower loan intensity (48%

APAC Banks

Harsh Wardhan Modi ^{AC}

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Daniel Andrew Tan, CFA

(63-2) 8554-2413

danielandrew.o.tan@jpmorgan.com

J.P. Morgan Securities Philippines, Inc.

J.P. Morgan Securities plc is acting as Corporate Broker to Big Yellow Group plc in connection with a potential cash offer by one or more of the investment funds advised by Blackstone or any of its affiliates (the "Blackstone Funds") as announced on 13 Oct 2025. This research report and the information contained herein is not intended to provide voting advice, serve as an endorsement of the proposed transaction or result in procurement, withholding or revocation of a proxy or any other action by a security holder.

Contents

A wealth hub; increasing DBS PT, upgrading OCBC, SGX and UOB	5
Flows	5
Governance and market microstructure	11
Participation	14
Stock drivers and views	17
Valuations	26
DBS Group Holdings	29
OCBC Bank	35
United Overseas Bank (UOB)	42
Singapore Exchange	48

See page 54 for analyst certification and important disclosures, including non-US analyst disclosures.

J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

loans to assets in 2027E vs. 63% in 2017). Higher rates (JPMe 2 hikes in 2027), coupled with deposit franchise (legacy S\$, incrementally US\$) should allow the bank to sustain NII gr over the next 5Y (on top of a 2% NII CAGR in 2024-27). Effectively, we expect 2026 EPS to mark a low for the next 5Y. Hence, we think regular DPS of S\$2.88 and part of special can stay intact. The bank can potentially pay \$3.30 DPS (2026E) for years to come, on our estimates.

- **DBS - the stock:** We expect DBS to re-rate to a point where the stock becomes unjustifiably expensive. The bank is one of the few Asian financial stocks that should be part of global portfolios, in the same way that HDFC Bank, Public Bank, CMB, BCA and CBA have been, to varying degrees, over the last 20Y ([link](#)). We can't overemphasise the importance of a cash DPS commitment by a bank. DBS has committed to paying S\$66c per quarter in regular cash by 4Q25 and S\$72c by 4Q26, as per the earnings commentary. This amounts to 82% of 2027e EPS, a significant commitment that only best-in-class banks can make and deliver. DBS is on track to generate 207bps of CET p.a. in 2025-27E (16.1% RoE, 4% RWAg), which we think would be available for distribution since stock of CET1 is high at 15.2% (Sep-25). The missing piece here is the relatively limited buyback YTD; we expect this to catch up over the next two years. Hence, we estimate the total return for the bank will be almost 7.2/7.5% in 2026/27, in S\$ terms. This adds a further 50 to 100bps to returns in US\$ terms.
- **OCBC - the business:** The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being the main acquisitions/stake increases in the last 20 years, and Lion Global being a product of the merger between OCBC/GEH AMs. We expect the group to generate a 1.13% RoA with ~11x leverage in 2025, with RoE lagging DBS but better than UOB. This track record suggests OCBC is more likely to use excess capital to buy rather than to increase its pay out significantly. Yet, management has hinted at but not promised increasing payout ratios. We believe consensus is for the bank to move closer to a 60% payout, which we concur with.
- **OCBC - the stock:** Once the payout for OCBC officially moves higher, we expect the stock to do well both in anticipation of and post the move as well. This, along with consistent WM delivery, should lead to a re-rating. Further, AQ risks at UOB and valuations at DBS have led investors to look for a GARP alternative in the Singapore financials space, where OCBC stands out. Hence our upgrade to OW.
- **UOB - the business:** The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC as of 1H25). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and US over the last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks.
- **UOB - the stock:** We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to expect the stock actively to underperform. Hence, we close our UW and move to Neutral. Key risks to our upgrade are higher than anticipated NPL formation and yet another year of 40-50bps credit costs, leading to negative revisions.
- **SGX:** The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of initiatives. These should lead to volume strength (S\$1.6/1.7/1.8bn ADV in FY26-28E) and earnings (8% 3Y CAGR). The stock has gained 30% YTD (vs 13% MSCI Singapore Financials Index) on 11% EPS revisions. We see 6-7% further upside to Street EPS. Despite guidance of steadily increasing DPS, we see scope for further upside, as the payout is sub-70% on current guidance. We upgrade SGX to OW with a Dec-26 PT of S\$18.5.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	118,096	SGD	54.00	OW	n/c	70.00	Dec-26	56.00	n/c
OCBC Bank	OCBC SP	63,222	SGD	18.27	OW	N	20.00	Dec-26	17.00	n/c
United Overseas Bank (UOB)	UOB SP	43,170	SGD	33.89	N	UW	34.00	Dec-26	32.50	n/c
Singapore Exchange	SGX SP	13,698	SGD	16.60	OW	N	18.50	Dec-26	16.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 27 Nov 25.

A wealth hub; increasing DBS PT, upgrading OCBC, SGX and UOB

Singapore's evolution as a financial centre went through a step change this year. This is evident across flows, governance, micro-structure and participation, partly with help from the policymakers. The scale of this change, as well as its second-order implications are understandably under-appreciated, for now. Hence, we expect a multi-year period of significant improvement in value creation across banks and SGX. This positive view is at the crux of our upgrades of earnings, multiples and ratings. We are increasing our Dec-26 PT for DBS to S\$70, while upgrading SGX and OCBC to OW, and UOB to N.

Table 1: Singapore Financials: PT and rating changes

Company	Old rating	New rating	Old PT (\$)	New PT (\$)	Change in PT
DBS	OW	OW	56.0	70.0	25%
OCBC	N	OW	17.0	20.0	18%
UOB	UW	N	32.5	34.0	5%
SGX	N	OW	16.0	18.5	16%

Source: J.P. Morgan estimates.

Table 2: Singapore Financials: PT vs Street

EPS	EPSg y/y			JPM vs Street		
	2025E	2026E	2027E	2025E	2026E	2027E
DBS	-1%	0%	7%	1%	-1%	0%
OCBC	-4%	-1%	7%	-1%	-4%	-1%
UOB	-23%	20%	13%	-7%	-5%	0%
SGX	10%	9%	6%	6%	7%	7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Data as of 2026/27/28E for SGX.

Table 3: Singapore Financials: Valuation

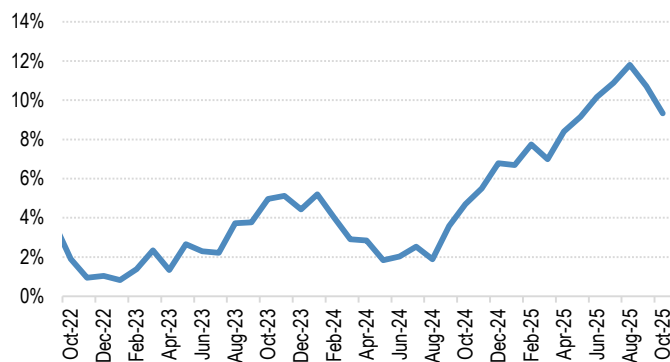
Bank	Price (\$)	Rating	PT (\$)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
DBS	54.12	OW	70.00	13.6	13.6	2.20	2.08	5.7	6.1	16.5	15.7
OCBC	18.34	OW	20.00	11.4	11.5	1.38	1.32	5.5	5.5	12.4	11.8
UOB	33.90	N	34.00	12.4	10.4	1.19	1.13	5.4	4.8	9.6	11.2
SGX	16.63	OW	18.50	23.0	21.6	6.63	6.12	3.1	3.4	31.5	30.9
Sector				13.4	12.9	2.05	1.94	5.4	5.6	15.0	14.7

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 27th Nov, 2025. Note: Data as of 2026/27E for SGX.

Flows

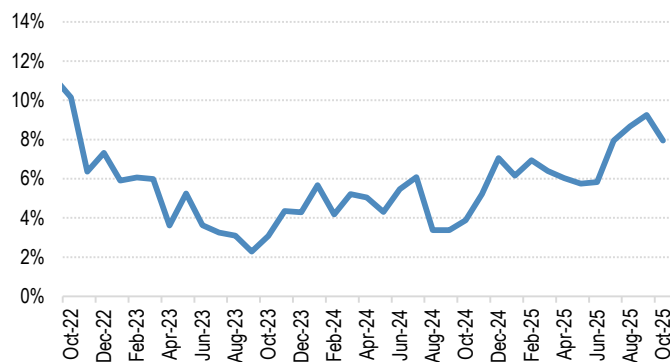
EQDP of S\$3.95bn is an important source of YTD fresh funds . Further, GIP will lead to avg S\$4bn flows p.a. in S\$ assets over the next 5Y, per our calculations. This should accentuate the flows into EQDP seeded funds as well as other S\$ assets. US\$ weakness (DXY -8% YTD) has also helped flows into Singapore (9% y/y S\$ deposit gr in Oct-25). This is analogous to moves in CHF/HKD and respective rates, due to flows into these global WM centres. Singapore's AAA rating, as well as post-GFC build out of WM (OCBC's acquisition of ING Asia PB and DBS rearchitected PB in 2010-15), are now showing in AuM growth acceleration. Even if the US\$ stabilises, we see flows into SG/S\$ lasting, as HNWI families and businesses (MNC treasuries looking to diversify) work with longer timelines.

Figure 1: S\$ deposit growth (y/y)



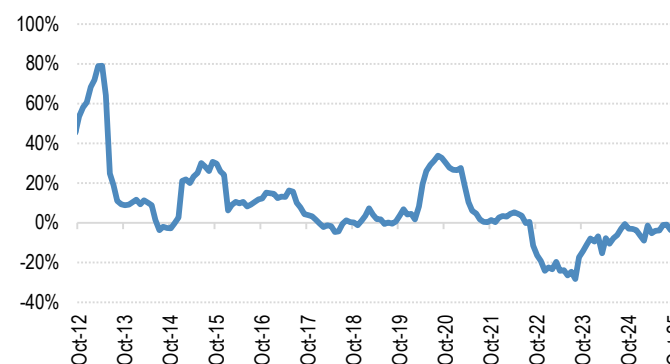
Source: Bloomberg Finance L.P.

Figure 2: SG deposit growth (y/y)



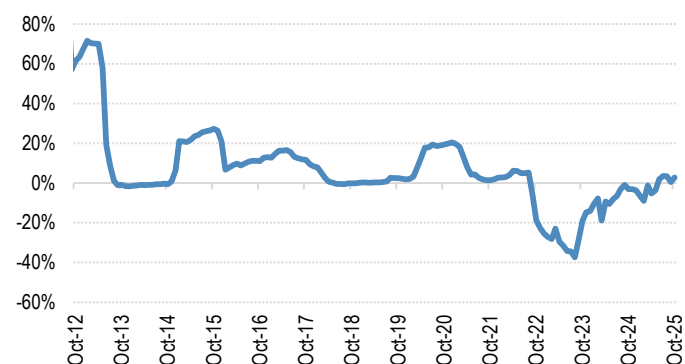
Source: Bloomberg Finance L.P.

Figure 3: Switzerland: CHF deposit growth (y/y)



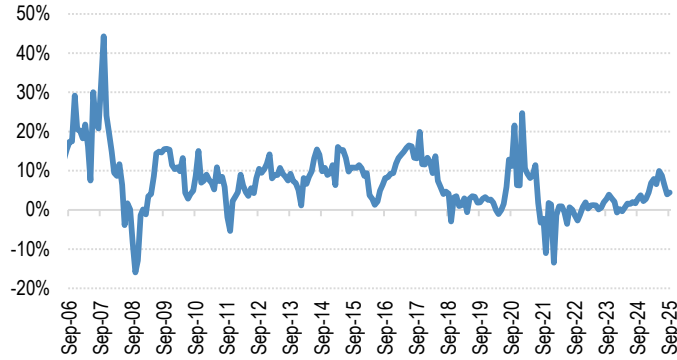
Source: Bloomberg Finance L.P.

Figure 4: Switzerland: Total deposit growth (y/y)



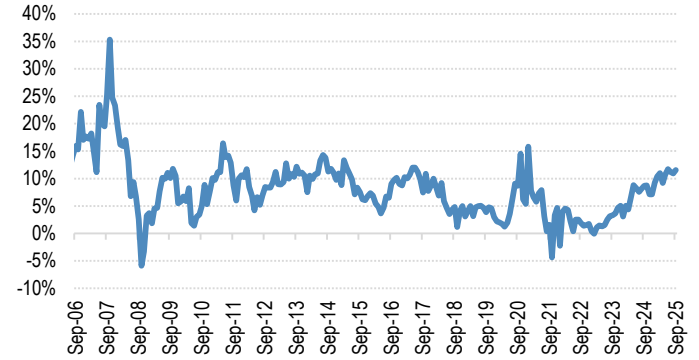
Source: Bloomberg Finance L.P.

Figure 5: Hong Kong: HKD deposit growth (y/y)



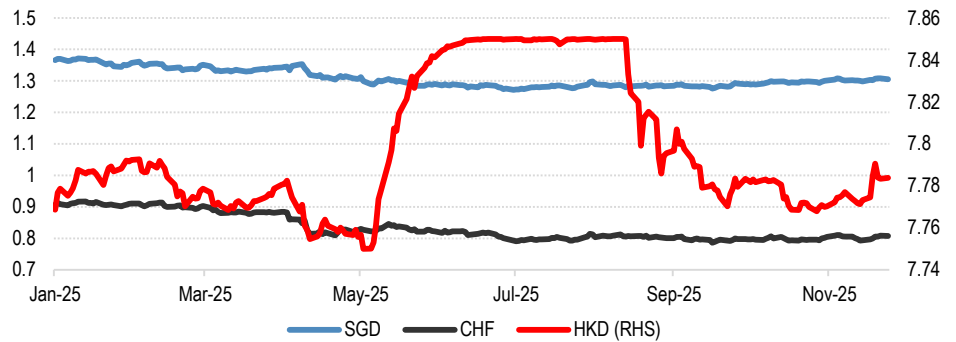
Source: HKMA.

Figure 6: Hong Kong: Total deposit growth (y/y)



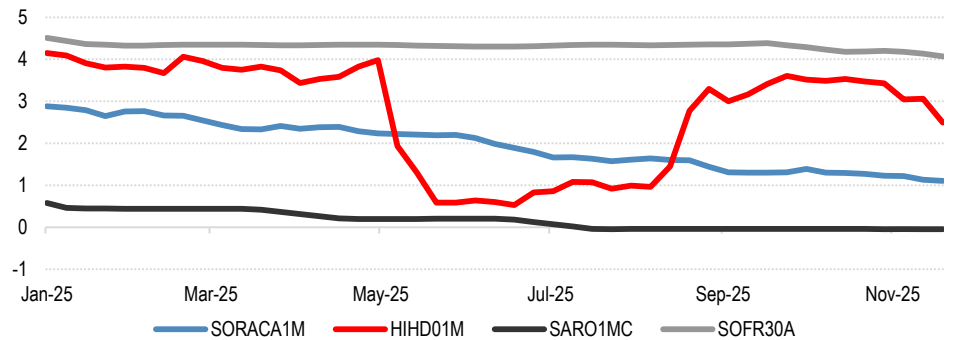
Source: HKMA.

Figure 7: Currency trends: SGD, HKD and CHF



Source: Bloomberg Finance L.P.

Figure 8: Interbank overnight lending rates - SORA, HIBOR, SARON and SOFR



Source: Bloomberg Finance L.P.

Equity Market Development Programme (EQDP)

Monetary Authority of Singapore's S\$5 billion Equity Market Development Programme (EQDP) shows a commitment by the Singapore government to enhance value creation for shareholders and improve market activity. The first batch – Avanda Investment Management, Fullerton Fund Management, and JP Morgan Asset Management – were appointed in July with a placement of S\$1.1bn. On 19th Nov, MAS appointed the second batch of EQDP asset managers, with S\$2.85 billion in placements ([link](#)). The asset managers include:

- Amova Asset Management (formerly Nikko Asset Management)
- AR Capital
- BlackRock
- Eastspring Investments (Singapore)
- Lion Global Investors
- Manulife Investment Management (Singapore)

Global Investor Programme

The **Global Investor Programme (GIP)** offers Singapore Permanent Residency (PR) to eligible high-net-worth individuals through investment. Investment options include: 1) Invest at least SGD \$10 million in a new or existing Singapore-based company; 2) Invest at least SGD \$25 million in a fund approved by the Singapore Economic Development Board; or 3) Establish a Singapore-based single family office with assets under management of at least SGD \$200 million. ([link](#))

To complement the program, MAS launched a tax exemption on fund managers' qualifying income derived from funds investing substantially in Singapore-listed equities. In addition to this, for new GIP Family Office applicants, the qualifying investment categories will be narrowed to equities listed on approved Singapore exchanges. Specifically, family offices would need to deploy at least S\$50mn in equities listed on Singapore approved exchanges. The adjustment removes REITS/business trusts, qualifying debt securities, Singapore-distributed funds and non-listed Singapore-based operating companies from the investable category.

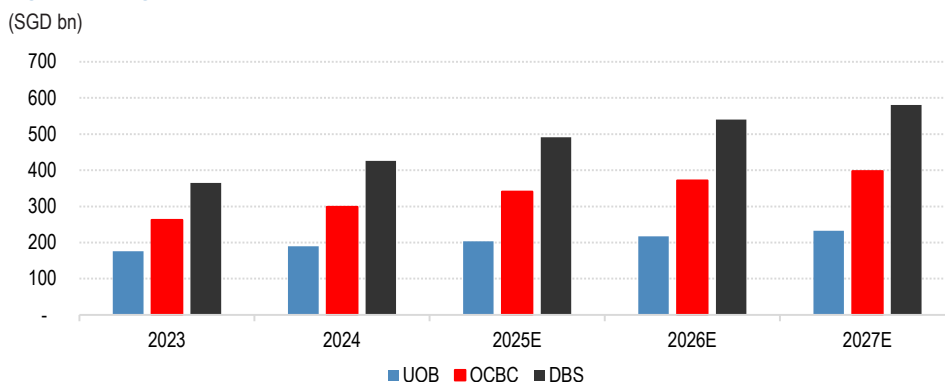
As of 2024, there are over 2,000 family offices in Singapore ([link](#)), up from 400 in 2020. Assuming 400 family offices a year and ~20% included in GIP, this implies 80 new GIP family offices a year, or S\$4bn flows into Singapore listed equities per year.

Figure 9: Sovereign ratings

	Moody's	S&P	Fitch
Singapore	Aaa	AAAu	AAAu
Hong Kong	Aa3	AA+	AA-
Switzerland	Aaa	AAAu	AAAu

Source: Bloomberg Finance L.P.

Figure 10: Singapore Banks: AuM trends



Source: Company reports and J.P. Morgan estimates.

Singapore banks' wealth management highlights

OCBC ING PB deal

OCBC acquired the ING Group's Asia Private Banking business (IAPB) for US \$1,463mn (~S\$2,048mn) in cash, or a P/B of 1.6x as of August 2009. NAV at the time was US\$925mn. With more than 5,000 clients and an AUM of US\$15.8bn, the deal more than tripled OCBC's AUM to a combined value of US\$22.5bn. IAPB's strengths in high yield fixed income and estate planning added to OCBC's portfolio, while OCBC was able to cross sell property financing.

DBS PB shifts in 2010-15

DBS more than doubled its WM income from S\$506mn in 2010 to S\$1,416mn in 2015, with AUM reaching S\$146bn. DBS hired a new Group Head of Wealth Management, COO and CIO to reset its post-GFC wealth strategy to build scale across the affluent-to-private bank continuum, anchored on two hubs (SG and HK). In 2011, DBS launched its DBS Treasures Private Client platform (≥S\$1.5mn) and refocused the Private Bank (≥S\$5mn) to cater to clients with more sophisticated investment needs. The bank also committed S\$250mn over five years to people, product, platform and privileges. The bank also made a S\$281mn acquisition of Société Générale's Asian private bank in 2014.

Corporate treasury and WM flows

Wealth management has been a key driver for all three Singapore banks, with DBS and OCBC both achieving record AUM levels (+18% y/y). DBS leads in absolute scale with wealth AUM hitting a record S\$474bn. The bank also delivered strong treasury customer sales at S\$1.657bn (+17% y/y). UOB captured significant inflows with S\$5bn net new money in 3Q25 alone with treasury customer income of S\$855mn, reflecting improved client acquisition. OCBC trading income reached S\$1.29bn YTD, while 3Q25 wealth management fees surged 53% y/y, with NNM at a solid S\$12bn for the quarter.

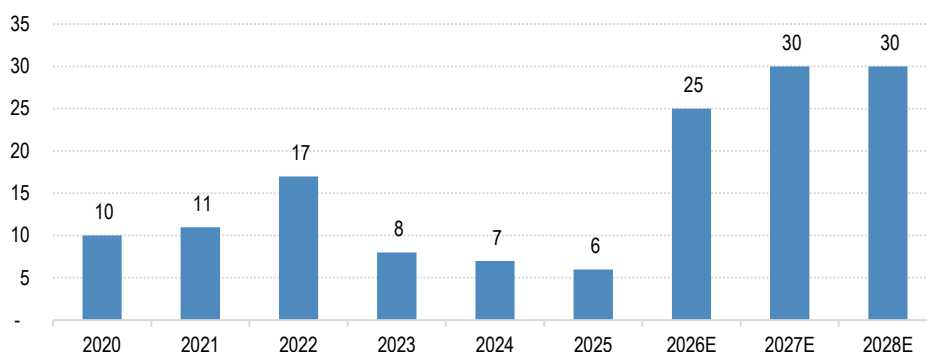
USD deposit gains

During the past decade, Singapore banks have seen a strong increase in USD deposits. DBS has the most exposure to USD on both sides of the balance sheet. USD deposits at DBS and OCBC expanded steadily, suggesting a more balanced funding profile, while UOB's USD deposits were highly volatile. Notably, Singapore banks' USD deposits grew much faster than USD loans, thus the increased USD liquidity.

Governance and market microstructure

SGX RegCo is moving towards a more disclosure and market-based regime from a relatively prescriptive framework. Further positives are shifts in governance code that should lead to more listings, and the evolution of regulation of stablecoins and DLT ecosystem ([link](#)). This should help flows into Singapore, with banks (led by DBS) and SGX (launch of crypto perps on Nov. 24) benefitting to a degree. As of now, we see the related opportunity more as a call option, which could lead to a re-rating before meaningful profit contribution. In the near term, we expect an over fourfold increase in IPOs at SGX in the next 2Y (vs. FY25), with related pick-up in listing fees, trading volumes and IB/ECM fees for banks.

Figure 11: SGX: IPO trends



Source: Company reports and J.P. Morgan estimates.

SGX RegCo changes

SGX RegCo is removing the financial watchlist and discontinuing public trading queries to shift towards a more disclosure-based market framework. Instead of regulatory intervention, the focus will be on investor-driven assessment of disclosures and on issuers directly reporting material information. Overall, this approach aims to encourage a more dynamic and market-driven environment, with the aim of driving better corporate governance and empowering investors to make informed decisions.

SGX RegCo is proposing to consolidate the listing suitability and prospectus review functions under its authority, so that prospective issuers will only need to engage with SGX RegCo for all listing approvals, instead of both SGX RegCo and MAS. ([link](#))

SGX and Nasdaq dual-listing bridge

Singapore Exchange (SGX) and Nasdaq have announced a partnership to simplify dual listings in the two markets. This targets high-growth Asian companies with market capitalisation above S\$2bn, enabling them to raise funds from a broader investor base. Supporting measures, such as the Equity Market Development Programme (EQDP) and Anchor Fund @ 65 (S\$1.5 billion fund, managed by 65 Equity Partners) will further incentivise fundraising and trading liquidity for these dual-listed companies, making Singapore a more attractive destination for global and regional issuers. MAS and SGX will introduce incentives to enhance market-maker capabilities for newly-listed and next-tier stocks, with more information expected in 1Q 2026. SGX will support broker custody accounts to facilitate various investment services.

MAS and SGX will introduce incentives and grants to strengthen market makers' capabilities, focusing on newly listed and next-tier small- and mid-cap stocks outside the STI. More details will be announced in 1Q 2026. The minimum board lot size will also be reduced from 100 to 10 units for securities priced above S\$10 to encourage retail investor participation. ([link](#))

Code of corporate governance review

MAS has launched a review of the Code of Corporate Governance by the Corporate Governance Advisory Committee (CGAC). ([link](#)) The review aims to strengthen corporate governance and disclosure practices among listed companies, making them more transparent and attractive to investors without imposing unnecessary reporting burdens. Two sub-committees will support this effort: one will focus on practical guidance for implementing the CG Code tailored to different company contexts, while the other will explore new provisions related to corporate culture, board effectiveness, and emerging risks such as artificial intelligence. The CGAC will consult industry stakeholders and conduct focus groups to gather feedback, with the goal of enhancing board capabilities and maintaining high standards of governance in Singapore's capital markets.

Review of investor engagement and board practices

Singapore Exchange Regulation (SGX RegCo) implemented new measures recommended by the Equities Market Review Group in October 2025, advancing Singapore toward a more disclosure-based regulatory regime aligned with major developed markets. These changes were strongly supported by industry feedback from the May 2025 public consultation. SGX RegCo is simultaneously seeking feedback on proposed Mainboard rule changes to implement MAS's proposal to consolidate listing review functions under SGX RegCo, representing a significant shift in market oversight responsibilities.

Increased scrutiny and enforcement

AML/CFT enforcement was tightened with MAS re-issuing Notice 626 in June 2025, clarifying proliferation financing coverage and that banks cannot rely on payment service or digital token licensees to perform required due diligence. Notably, the Collaborative Sharing of Money Laundering/Terrorism Financing Information and Cases (COSMIC) is a centralized digital platform launched by MAS to prevent financial crimes. To date, S\$44mn in criminal proceeds have been seized, with S\$13mn returned to victims through actions enabled by cross-agency collaboration involving COSMIC's framework. Another key focus is the enforcement of the Shared Responsibility Framework (SRF) Guidelines which requires financial institutions to share responsibility for scam losses with telecom operators and consumers in phishing scam scenarios.

VCC structures

Singapore's Variable Capital Company (VCC) regime advanced materially in 2024–2025 across tax incentives, AML/CFT, and listing infrastructure. As of March 2025, there are ~1,200 VCCs in Singapore, managed by about 600 financial institutions across banks and fund managers. The regulator and stakeholders have been reported to be developing VCC 2.0 ([link](#)), which could expand manager eligibility and simplify administrative processes. Changes could include possible conversion of existing funds to VCCs, which could expand the use of VCCs in the country.

Developments in digital assets

DBS

DBS bank reported S\$13mn revenue from digital assets in 2024, with a run rate exceeding S\$39mn in 2025 (3x y/y growth), noting that a full-suite DLT strategy is highly profitable (originate, issue, list, trade, custodize, settle, bank the ecosystem). In 2024, the company launched Treasury Tokens, a pilot with Ant International for instant, multi-currency intra-group settlement beyond cut-offs. DBS has issued tokenized structured notes on Ethereum, and its DDEX which provides on/off-ramp, trading and institutional-grade custody grew ~171% y/y in volume in 1H25. The bank also has tokenized deposits, which have garnered customer interest. We expect the full-suite approach to further boost its digital assets as the company starts exploring repo and collateralized use cases for tokenized money market funds.

OCBC

OCBC has moved DLT from pilots into production in payments and treasury, with additional tokenization initiatives in the pipeline. The bank became the first Singapore bank with blockchain-based intraday institutional lending, executing intraday reverse repo on Kinexys (J.P. Morgan's at-scale institutional blockchain network). The bank has moved conditional payments into production with S\$24mn processed through smart-contract disbursements. Furthermore, OCBC partnered with ADDX (digital market exchange) to issue tokenized equity-linked structured notes for accredited investors.

UOB

UOB's approach has been pilot-heavy with no bank-wide DLT product suite announced. UOB is active in Project Guardian pilots for fixed income and is exploring CBDC/ tokenised assets with MAS via UOB FinLab. As part of the project, UOB is collaborating with NUS and Northern Trust to mint a "green bond reporting token" on Northern Trust's Matrix Zenith (digital asset platform). UOB could have the opportunity to deliver tokenized trades in cross-border trade, as cross-border income is 26% of wholesale.

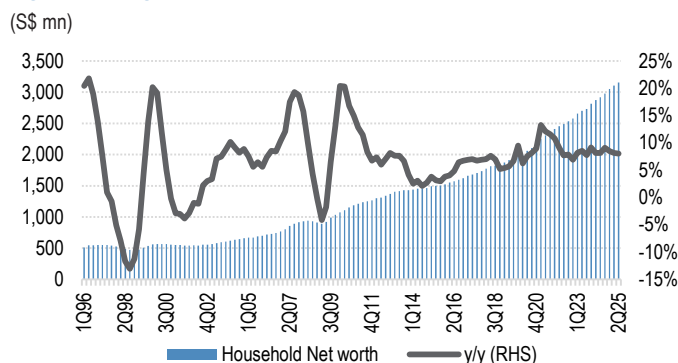
SGX

SGX is also launching Bitcoin and Ethereum perpetual futures, institutional-grade crypto derivatives within a regulated, exchange-cleared framework. This potentially captures a portion of the \$187bn daily perpetual futures market while bringing offshore trading onshore. SGX's digital capital-markets strategy is partly executed through Marketnode, founded by SGX and Temasek and backed by HSBC and Euroclear. Marketnode operates two platforms: Gateway (a one-stop, end-to-end platform enabling tokenization and workflow acceleration) and Fundnode (Singapore's blockchain-enabled funds infrastructure).

Participation

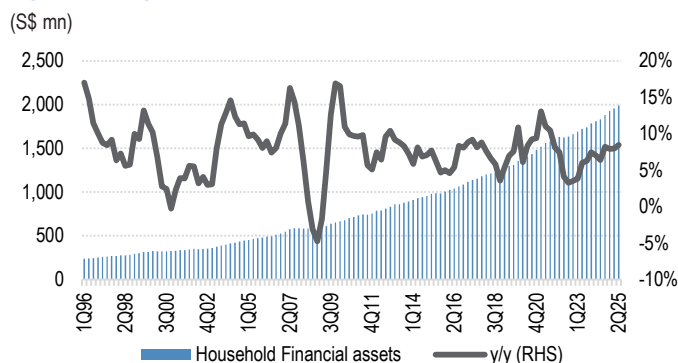
Concerted attempts by policymakers to improve market vibrancy are in the early stages of having knock-on effects on retail participation in the Singapore equity market (5% of HH assets). Property ranks high up in household asset allocation (49%) and has done phenomenally well over the last few decades. Hence, as some of the policy initiatives continue, we expect household allocation to Singapore equities to improve.

Figure 12: Singapore: Household net worth



Source: Singapore Department of Statistics.

Figure 13: Singapore: Household financial assets

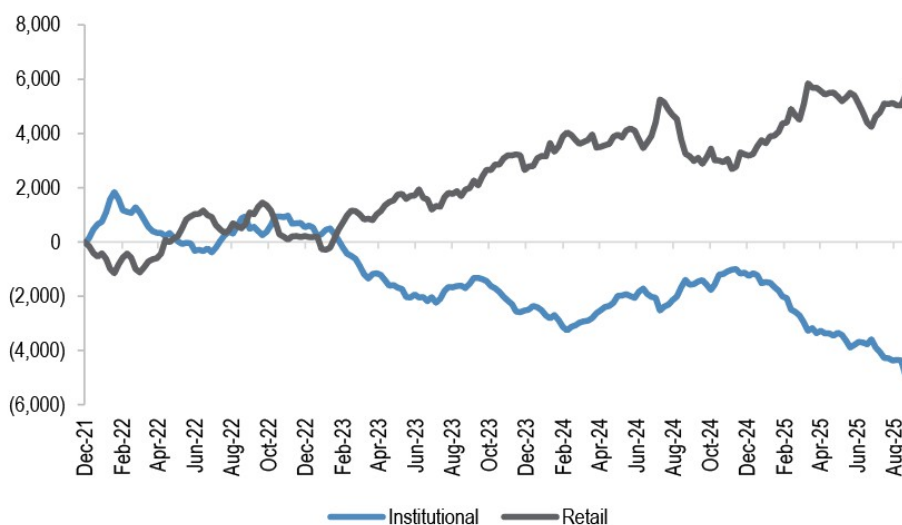


Source: Singapore Department of Statistics.

The J.P. Morgan economics team expects the MAS to remain on hold through the end of 2026 ([link](#)). This environment has driven a wave of retail investors to increase their equities exposure, through mutual fund subscriptions and single stock purchases. We expect this dynamic to persist into 2026 as global monetary easing continues.

Figure 14: SGX net cumulative flows - institutions vs retail

(\$ mn - cumulative from end 2021)



Source: SGX, J.P. Morgan.

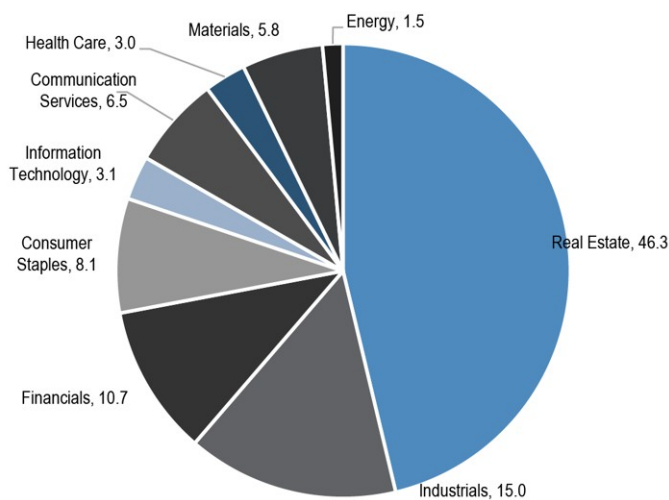
“Value Unlock” Program to Drive Value Creation

The Monetary Authority of Singapore (MAS) and Singapore Exchange (SGX) are launching a “Value Unlock” program to help listed companies enhance investor engagement and focus on shareholder value creation. The initiative consists of three pillars: building corporate capabilities through S\$30mn in grants for strategy, capital optimisation, and investor relations; and improving communication by providing regulatory clarity. This comprehensive approach aims to strengthen strategic fundamentals, improve transparency, and promote sustained investor participation in Singapore’s equities market.

Next 50

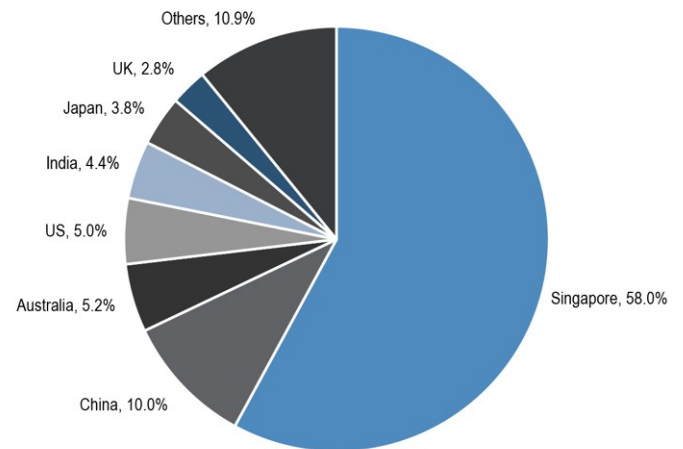
The SGX (Singapore Exchange) launched the **iEdge Singapore Next 50 Indices** initiative in September 2025 to track the performance of the 50 largest and most liquid companies listed on the SGX Mainboard, excluding the 30 constituents of the Straits Times Index (STI). All constituents must meet a minimum market capitalization of S\$100mn, daily traded value of S\$100k, and have at least 15% free-float. Index constituents are weighted using a capped liquidity weighting scheme, based on 6-month median daily traded value, with a maximum weight cap of 5% per individual stock. This initiative provides investors with a new benchmark for mid-cap companies, with a focus on high liquidity, and comes in two versions: one weighted by market capitalization and another by liquidity. The goal is to offer greater market diversification and highlight Singapore's evolving economy beyond the traditional blue chips. The initiative aims to spotlight mid-sized companies, including REITs and those in technology and new economy sectors, which represent the future of Singapore's economy. ([link](#))

Figure 15: Singapore: Next 50 Index composition



Source: SGX, Bloomberg Finance L.P.

Figure 16: Singapore: Next 50 Index country exposure

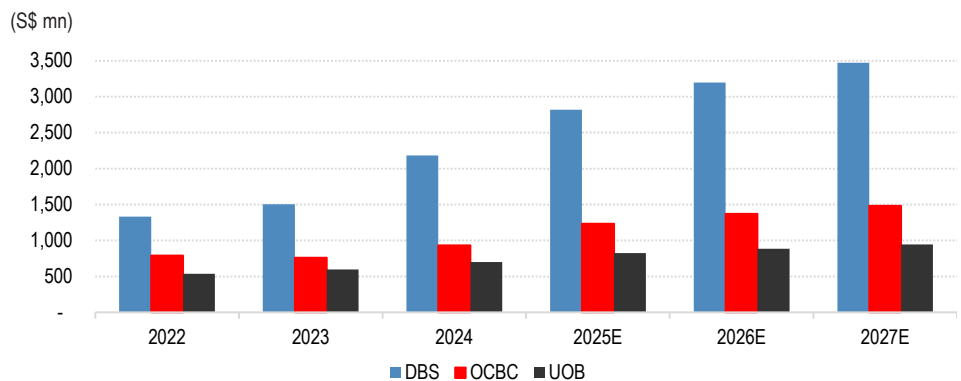


Source: SGN50N factsheet.

Stock drivers and views

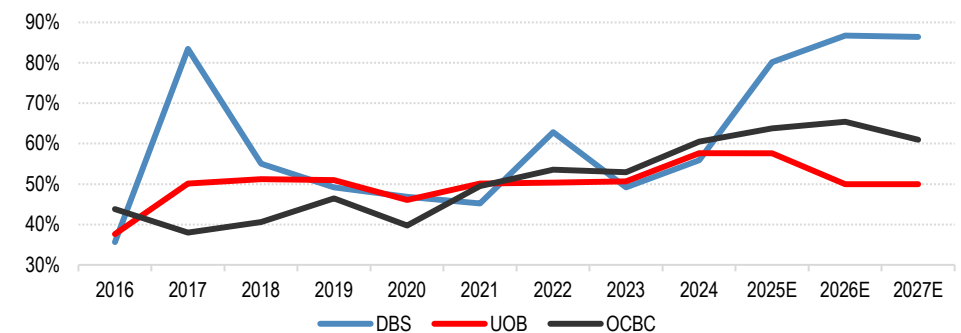
We think some of the possible future growth has been discounted, especially at SGX and DBS, both of which are close to all-time high PE multiples. Yet, we recommend staying with the trades, as the larger trend has yet to peak (or be fully priced in). We forecast 13/9% WM fee growth for DBS in 2026/27, on top of a firm 29% in 2025 and 13% CAGR in last 5Y. Our upgrade of OCBC and UOB are based more on industry trends. DBS appears costly when looked at narrowly via PB/RoE lens, without adjusting for quality of franchise and longevity of payout and buybacks. UOB is going through AQ issues, which may linger. Hence, in the interim, we think OCBC offers relatively better risk/return trade-off for investors looking to scale up positions in Singapore. Our UOB upgrade is almost entirely due to valuations.

Figure 17: Singapore Banks: WM fees



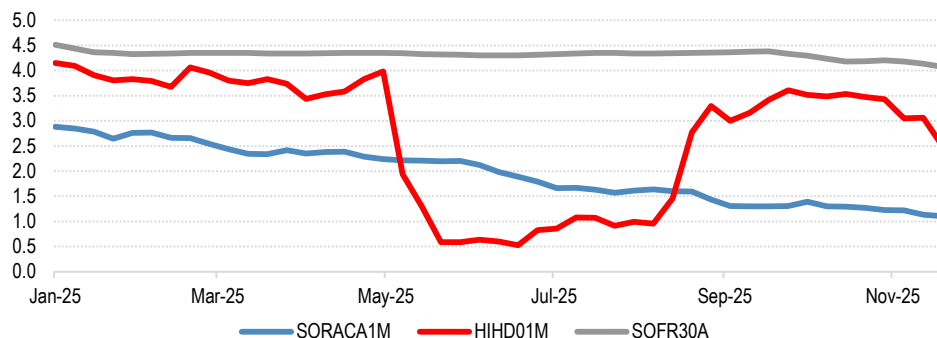
Source: Company reports and J.P. Morgan estimates.

Figure 18: Singapore Banks: Payout trends



Source: Company reports and J.P. Morgan estimates.

Figure 19: 1M SORA, HIBOR and SOFR trends



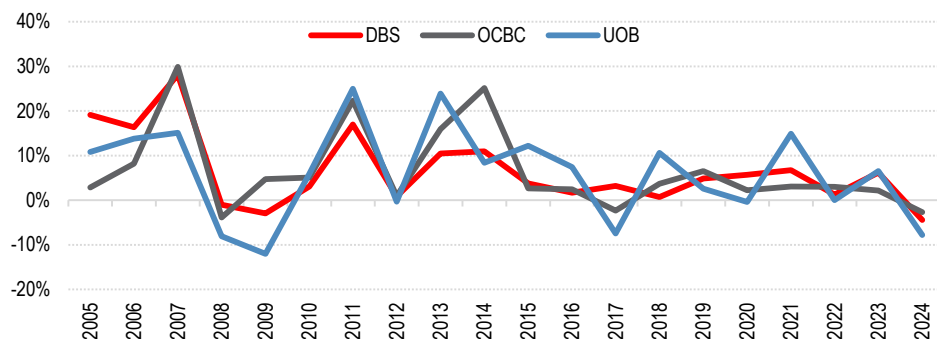
Source: Bloomberg Finance L.P. estimates.

Table 4: Singapore Banks: Total yields

SG Banks yields	DBS			OCBC			UOB		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Regular DPS	2.46	2.70	2.88	0.80	0.80	0.86	1.54	1.68	1.84
Special DPS	0.60	0.60	0.60	0.21	0.21	0.15	0.25	-	-
Total DPS	3.06	3.30	3.48	1.01	1.01	1.01	1.79	1.68	1.84
Yield									
Regular	4.6%	5.0%	5.4%	4.4%	4.4%	4.7%	4.5%	5.0%	5.4%
Special	1.1%	1.1%	1.1%	1.1%	1.2%	0.8%	0.7%	0.0%	0.0%
Total	5.7%	6.2%	6.5%	5.6%	5.6%	5.6%	5.3%	5.0%	5.4%
Payout									
Regular payout	63%	68%	68%	50%	50%	50%	58%	50%	50%
Regular + special payout	78%	83%	82%	63%	63%	59%	67%	50%	50%
Regular + special + buyback payout	82%	97%	94%	69%	71%	66%	81%	62%	61%
Total buyback (\$\$ mn)	450	1,500	1,500	500	600	600	700	750	750
Buyback amt. per share	0.16	0.54	0.54	0.11	0.14	0.14	0.43	0.47	0.48
Yield on buyback	0.3%	1.0%	1.0%	0.6%	0.8%	0.8%	1.3%	1.4%	1.4%
Total yields	6.0%	7.2%	7.5%	6.2%	6.3%	6.3%	6.6%	6.4%	6.8%

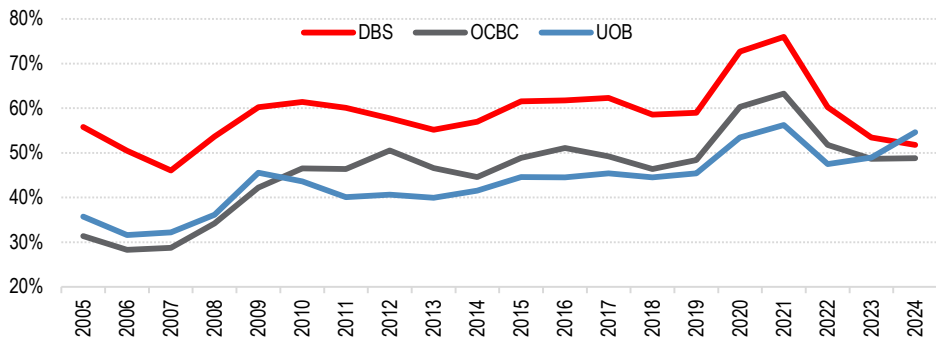
Source: J.P. Morgan estimates

Figure 20: Singapore Banks: RWAg y/y



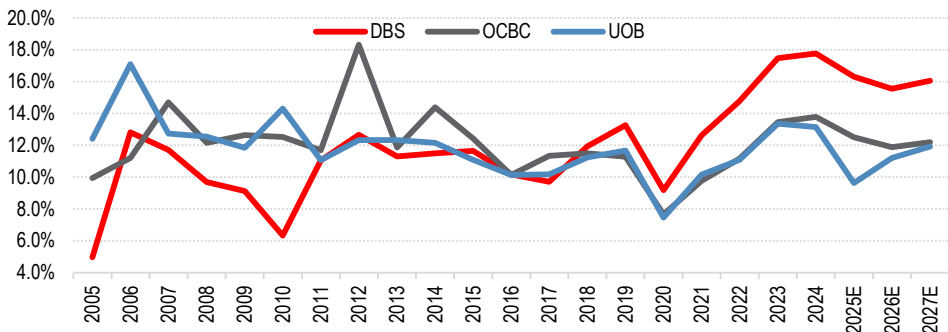
Source: Company reports and J.P. Morgan estimates. Note: 2024E for OCBC and UOB.

Figure 21: Singapore Banks: CASA ratio



Source: Company reports

Figure 22: Singapore Banks: RoE



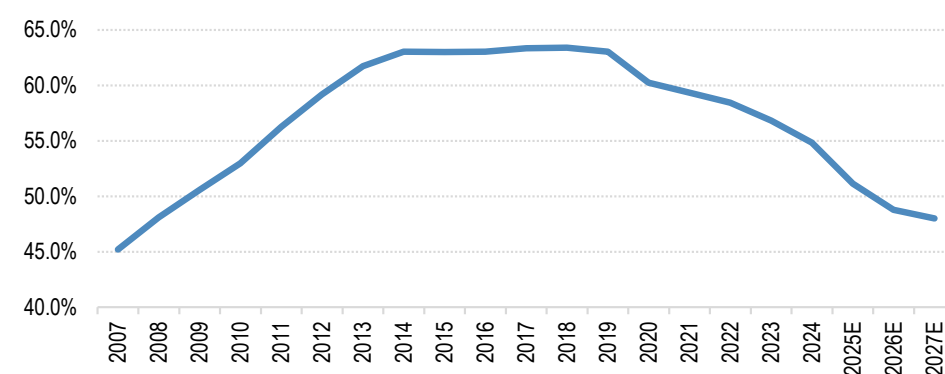
Source: Company reports and J.P. Morgan estimates.

DBS

The business

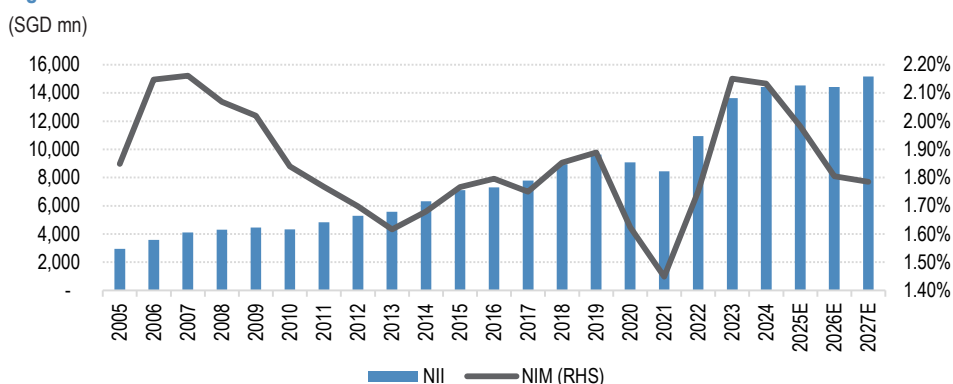
The bank has restructured to lower its loan intensity (48% loans to assets in 2027E vs. 63% in 2017). We think higher rates (JPMe 2 hikes in 2027), coupled with deposit franchise (legacy S\$, incremental US\$) will allow the bank to sustain NII gr over the next 5Y (on top of 2% NII CAGR in 2024-27). Effectively, we expect 2026 EPS to mark a low for the next 5Y. Hence, we think regular DPS of S\$2.88 and part of special can stay intact. The bank can potentially pay \$3.30 DPS (2026E) for years to come, on our estimates.

Figure 23: DBS: Loans/Assets



Source: Company reports and J.P. Morgan estimates.

Figure 24: DBS: NII vs NIM trends



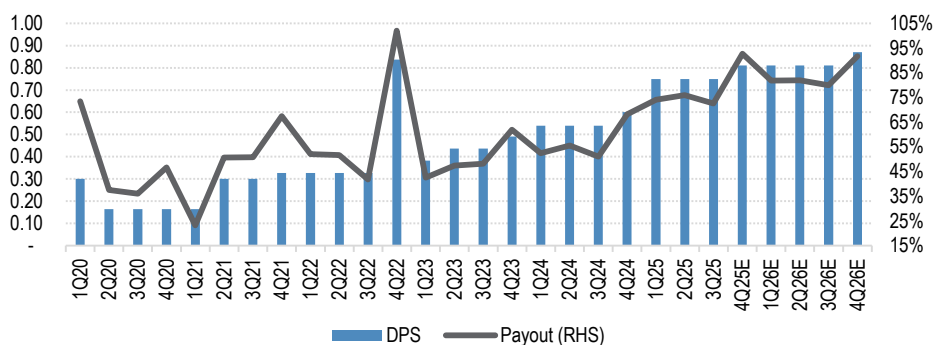
Source: Company reports and J.P. Morgan estimates.

The stock

We expect DBS to re-rate to a point where the stock becomes unjustifiably expensive. The bank is one of the few Asian financial stocks that should be part of global portfolios, in the same way that HDFC Bank, Public Bank, CMB, BCA and CBA have been, to varying degrees, over the last 20Y ([link](#)). We can't overemphasise the importance of a cash DPS commitment by a bank. DBS has committed to paying S\$66c per quarter in regular cash by 4Q25 and S\$72c by 4Q26, as per the earnings

commentary. This amounts to 82% of 2027e EPS, a significant commitment, that only best-in-class banks can make and deliver. DBS is on track to generate 207bps of CET p.a. in 2025-27E (16.1% RoE, 4% RWAg), which we think would be available for distribution since stock of CET1 is high at 15.2% (Sep-25). The missing piece here is the relatively limited buyback YTD; we expect this to catch up over the next two years. Hence, we estimate the total return for the bank will be almost 7.2/7.5% in 2026/27, in S \$ terms. This adds a further 50 to 100bps to returns in US\$ terms.

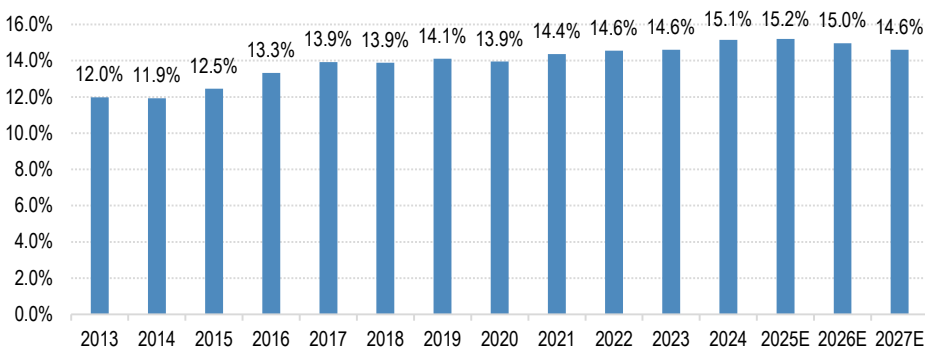
Figure 25: DBS: DPS and payout trends



Source: Company reports and J.P. Morgan estimates.

Despite payouts and buybacks, we expect DBS to be 14.6% fully phased in CET1 by end of 2027

Figure 26: DBS: Fully phased-in CET1



Source: Company reports and J.P. Morgan estimates.

Table 5: Buyback amount for FY2025

Amount (S\$ mn)	1Q25	2Q25	3Q25	4Q25	% of Market Cap	CET (bps)
DBS	80	275	15	NA	0.2%	10
UOB	80	175	225	146	0.9%	18
OCBC	78	85	170	29	0.4%	14

Source: Bloomberg Finance L.P.

OCBC

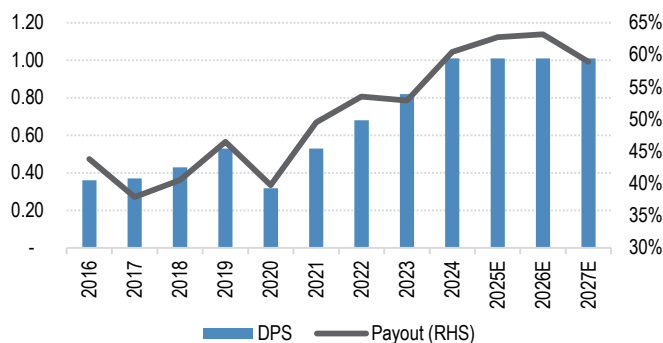
The business

The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being main acquisitions/stake increases in last 20 years, with Lion Global being a product of merger between OCBC/GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025, with RoE lagging DBS but better than UOB. The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. Yet, the management has hinted but not promised increasing payout ratios. We believe consensus is for the bank to move closer to 60% payout, which we concur with.

The stock

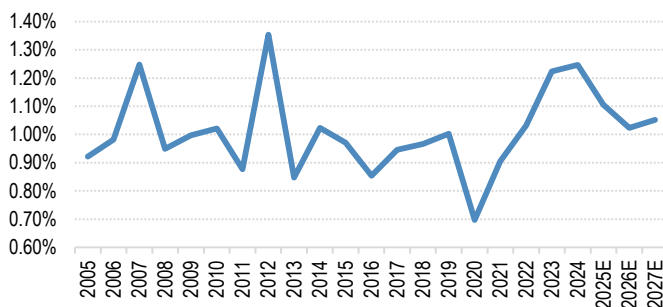
Once the payout for OCBC officially moves higher, we expect the stock to do well in anticipation and post the move as well. This, along with consistent WM delivery, should lead to re-rating. Further, AQ risks at UOB and valuations at DBS has led investors to look for a GARP alternative in Singapore financials space, where OCBC stands out. Hence our upgrade.

Figure 27: OCBC: DPS and payout ratio trends



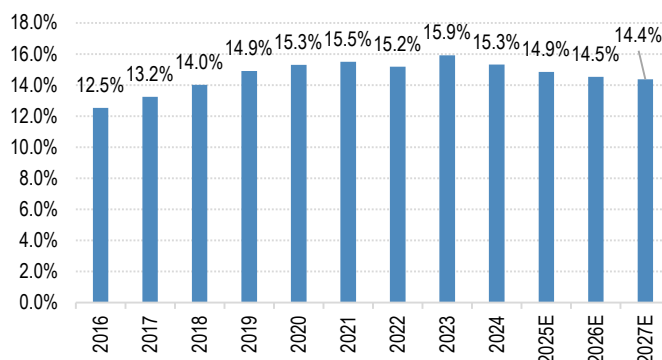
Source: Company reports and J.P. Morgan estimates.

Figure 29: OCBC: RoA



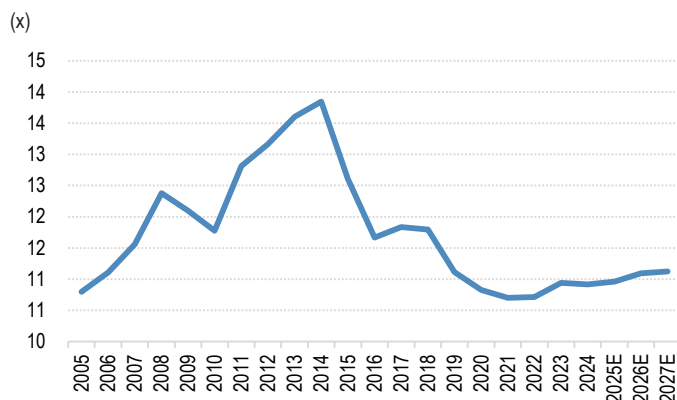
Source: Company reports and J.P. Morgan estimates.

Figure 28: OCBC: CET1 ratio



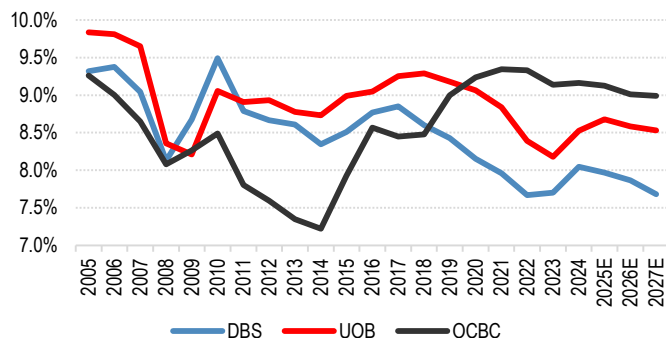
Source: Company reports and J.P. Morgan estimates.

Figure 30: OCBC: Assets/Equity



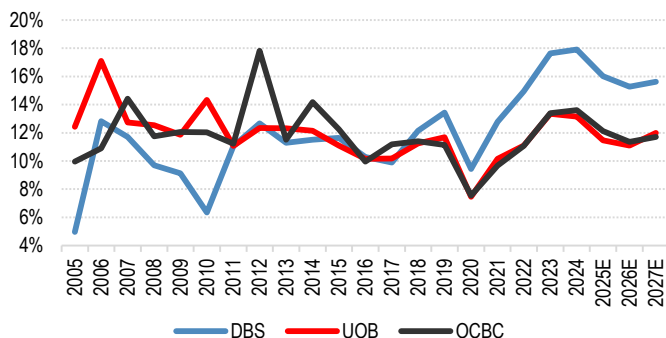
Source: Company reports and J.P. Morgan estimates.

Figure 31: Singapore Banks: Equity/Assets



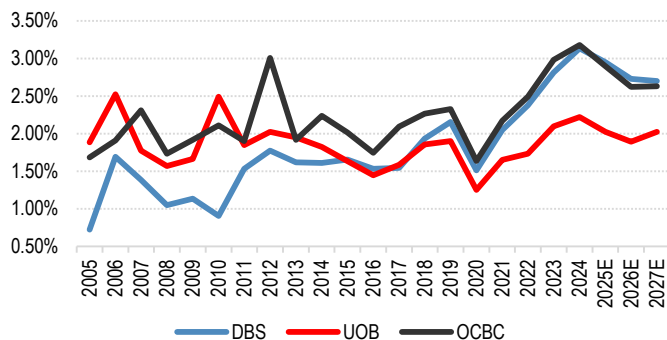
Source: Company reports and J.P. Morgan estimates.

Figure 32: Singapore Banks: RoE



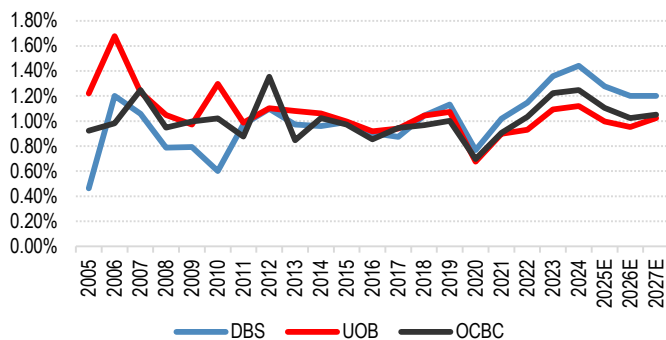
Source: Company reports and J.P. Morgan estimates.

Figure 33: Singapore Banks: RoRWA



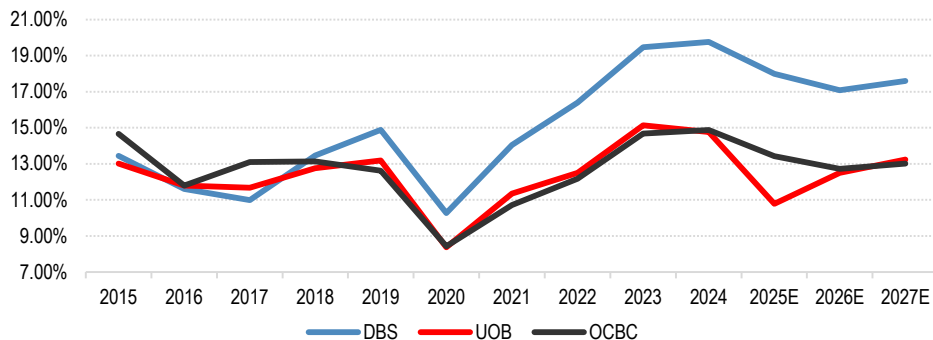
Source: Company reports and J.P. Morgan estimates.

Figure 34: Singapore Banks: RoA



Source: Company reports and J.P. Morgan estimates.

Figure 35: Singapore Banks: RoTE



Source: Company reports and J.P. Morgan estimates.

UOB

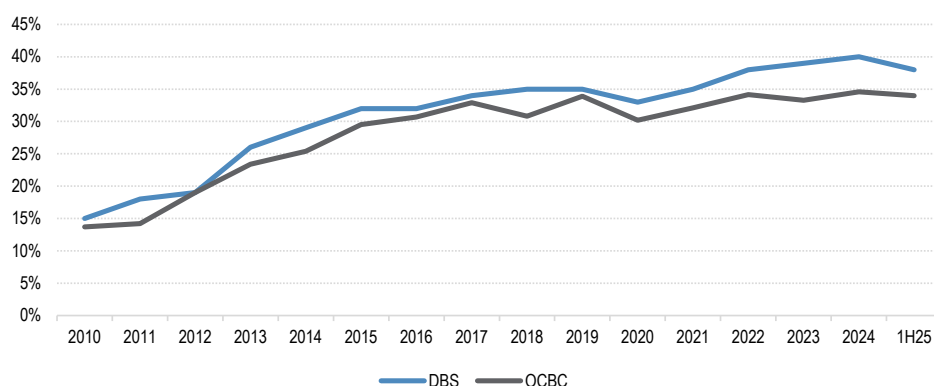
The business

The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and US over last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks.

The stock

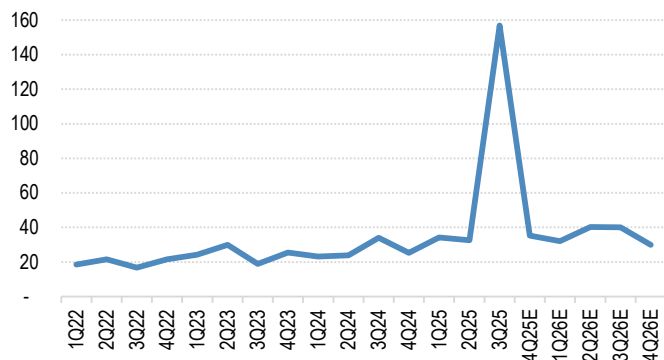
We expect the stock to be volatile in a wide range over next 6M, as above average NPL formation is likely not done yet. Yet, at (10.4/1.13x 2026E PE/PB), with ~11.6% RoE in 2026-27, it is tough to see stock actively underperform. Hence, we close our UW, and move to Neutral. Key risks to our upgrade is higher than anticipated NPL formation, and yet another year of 40-50bps credit costs, leading to negative revisions.

Figure 36: DBS and OCBC % of USD deposits as a % of total trends



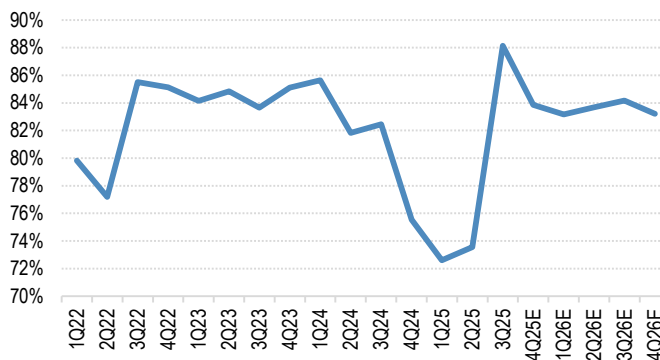
Source: Company reports.

Figure 37: UOB: Credit cost trends



Source: Company reports and J.P. Morgan estimates.

Figure 38: UOB: NPL Coverage trends

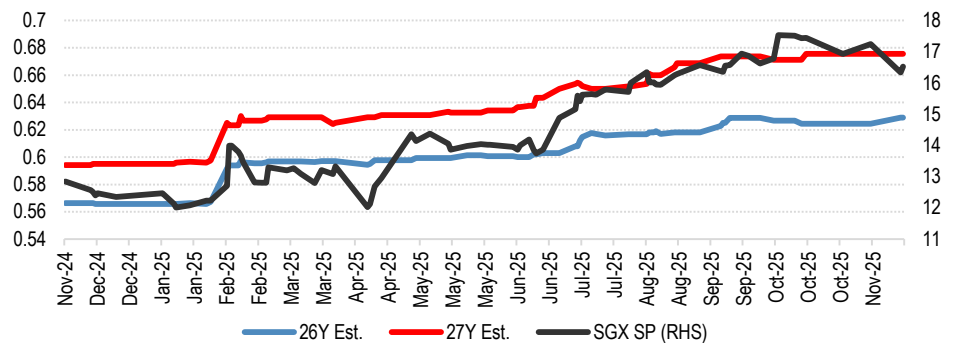


Source: Company reports and J.P. Morgan estimates.

SGX

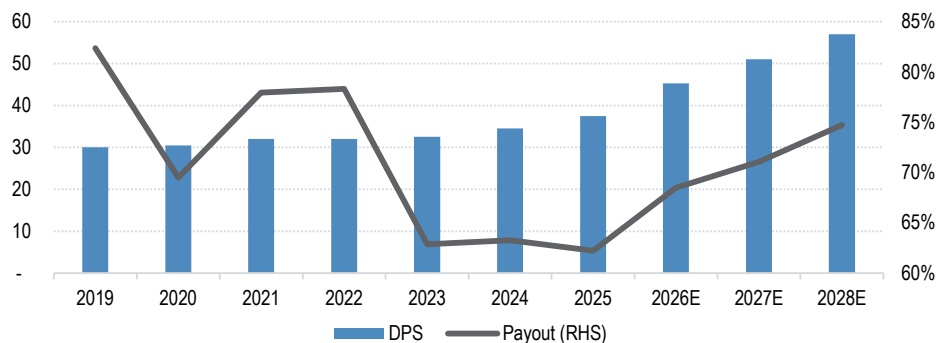
The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulation shifts and launch of crypto perpetuals are some examples of initiatives. These should lead to volume strength (S\$1.6/1.7/1.8bn ADV in FY26-28E) and earnings (JPMe 8% 3Y CAGR). The stock has gained 33% YTD on 11% EPS revision. We see 6-7% further upside to Street EPS. Despite guidance of steadily increasing DPS, we see scope for further upside, as payout is sub-70% on current guidance. We upgrade SGX to OW with a Dec-26 PT of S \$18.5.

Figure 39: SGX: EPS revisions



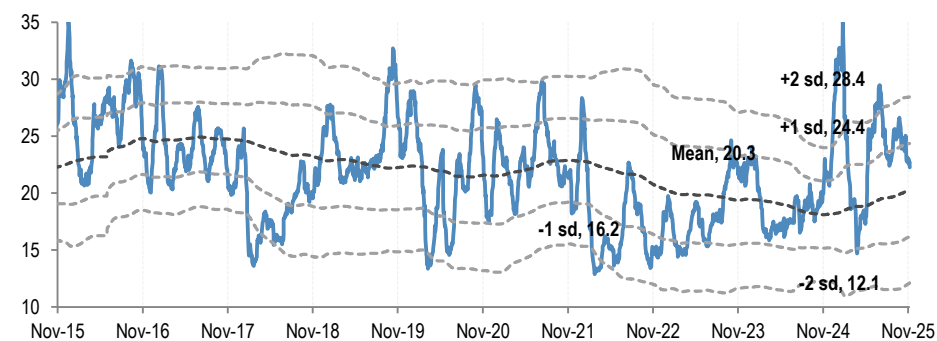
Source: Bloomberg Finance L.P. estimates.

Figure 40: SGX: DPS and Payout trends



Source: Company reports and J.P. Morgan estimates.

Figure 41: SGX: Dynamic PE



Source: J.P. Morgan. Bloomberg Finance L.P.

Figure 42: SGX: 12M fwd PE



Source: Bloomberg Finance L.P.

Potential uses of excess capital

Assuming a 13% CET (~196bps reduction) for DBS in 2026, a capital release would amount to S\$11.9bn. This would allow DBS to explore the possible acquisition of a 28.9% stake in Alliance Bank Malaysia from Temasek Holdings for US\$460mn as has been widely speculated in the press. We see this as a possibility, as such a deal would establish DBS's first retail banking presence in Malaysia amid improving economic prospects and infrastructure-driven credit growth. The bank's \$8 billion capital return program (2024–2026) remains unchanged, funded by excess capital. As for M&A, the bank prioritizes deals enabling leapfrog growth (e.g., the Lakshmi Vilas Bank acquisition in India) and forward-looking areas such as wealth tech.

UOB prefers organic growth, but remains open to strategic portfolio acquisitions that add immediate scale similar to the S\$4.9 billion acquisition of Citigroup's consumer banking businesses in Indonesia, Malaysia, Thailand and Vietnam which doubled UOB's retail customer base to over 8mn in 2023. A 93bps delta in CET1 translates to S\$2.9bn in 2026 based on our estimates.

Turning to OCBC, Indonesia is a market of interest with the previous acquisition of PT Bank Commonwealth at ~US\$132mn, which added 1.2mn customers to OCBC Indonesia's base and positioned it as one of the top 10 largest banks in Indonesia by assets. OCBC is reportedly contending with Malaysia-based CIMB to acquire a controlling stake in Indonesian lender PT Bank Pan Indonesia (Panin Bank).

SGX is exploring the development of new products, including the recently launched crypto perpetual futures. The bourse sees 2x gross debt to EBITDA as a soft ceiling (to maintain its credit rating), and continues to explore opportunities in M&A. Yet, high returns suggest a high bar for any acquisition, and the recent shift in DPS guidance could suggest lower M&A probability. We see prediction markets as a potential area of opportunity for SGX, given the strong growth and potential for streamlining and regulation.

Data center exposure

Over the past few years, we have seen increased participation of Singapore banks in data center financing, particularly as the industry has grown. We highlight known and reported exposures below, which could include direct financing and underwriting/capital markets involvement. This remains firm in the near-term, but could be an area of risk down the line, if the outlook for the sector sees a turn.

Table 6: Data Center Exposure

Geography	Project	Size	Role
UOB			
Singapore	Singtel data centres (BCA Green Mark Platinum)	S\$535mn	Green loan provider
Singapore	AirTrunk SGP2 (Loyang)	S\$2.25bn	Mandated Lead Arranger & Bookrunner
Malaysia	Princeton Digital Group (PDG) Johor	RM1.3bn	MLA, Bookrunner & Green Loan Coordinator
Singapore/Indonesia	DayOne/INA Batam (Nongsa Digital Park)	IDR 6.7tn (~ S\$530mn)	Joint arranger (with DBS)
Regional sponsor financing	AirTrunk platform acquisition (Blackstone/CPP)	A\$5.5bn senior facilities	Structuring bank, joint MLA & Bookrunner
DBS			
Singapore	AirTrunk SGP2 (Loyang)	S\$2.25bn	Global Coordinator & Sustainability Structuring Agent
Singapore/Indonesia	DayOne/INA Batam (Nongsa Digital Park)	IDR 6.7tn (~ S\$530mn)	Joint arranger (with UOB)
Singapore	Power plant supplying Google's Singapore DC operations	Not disclosed	Green loan provider to a Singapore SME
OCBC			
Singapore	Equinix SGD green note & EMTN issuances	~S\$500mn (2030)	JGC/JLM/Bookrunner
Singapore/Malaysia	Corporate lending to infrastructure/data centres	S\$50–53.1bn sustainable loans	Portfolio support
Malaysia	YTL Green Data Center Park Phase 1	RM1.1bn facility	JLA
Malaysia	Other Malaysia DC financings (2024–2025)	Not disclosed	Limited public disclosures

Source: Company reports, J.P. Morgan.

Revisiting CRE concerns

Vanke's first bond extension signals deepening liquidity stress in China CRE ([link](#)). While not a major market surprise, this could lead to renewed concerns on CRE book across SG banks. Significant NPA formation/losses are a key downside risk. While not fully comparable, latest disclosed SG bank exposures to Greater China CRE are below.

Figure 43: Commercial Real Estate loan exposure in Greater China



Source: Company reports. Note: DBS data is from 4Q23, UOB data is from 2Q25, OCBC data is from 3Q23.

DBS's figure represents total commercial real estate as a percentage of the loan book in Greater China while UOB and OCBC's figures reflect only their office segments within CRE.

Valuations

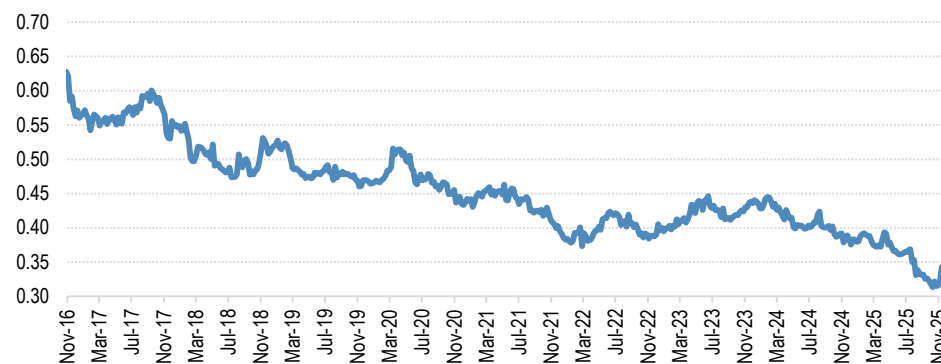
We have revisited our valuation assumptions across the sector and adjusted risk-free rates, ERP, and growth according to country level operating profit/net income break-ups across banks. Please see assumptions below.

Table 7: Singapore Banks: Valuation assumptions

Valuation metric	DBS	OCBC	UOB
Risk free rate	3.85%	4.10%	4.15%
Equity premium	5.00%	5.05%	5.05%
Growth	4.40%	4.30%	4.10%
Beta	1.00	1.15	1.35
COE	8.9%	9.9%	11.0%
Normalized ROE	15.9%	12.1%	11.5%
Fair PB	2.59	1.40	1.08
PV of NPV	23.6	12.6	26.9
PV of Terminal Value	61.3	17.5	29.1
DPS	3.0	0.9	1.5
Today's FV	64.3	18.5	30.6
Price target	70	20	34

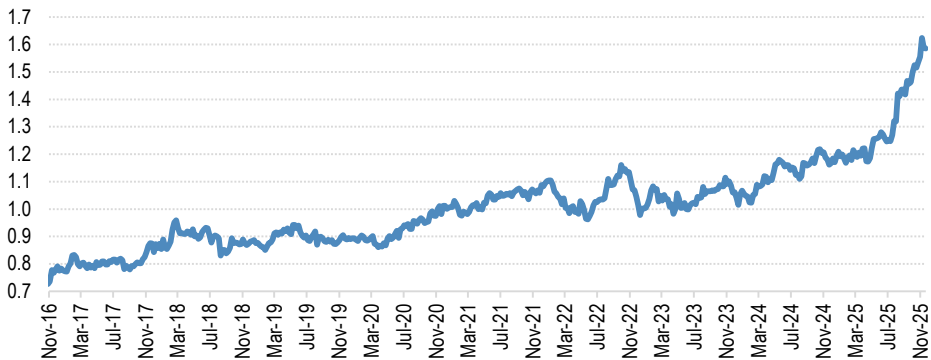
Source: J.P. Morgan estimates.

Figure 44: Singapore Banks: Price comparison - OCBC vs DBS



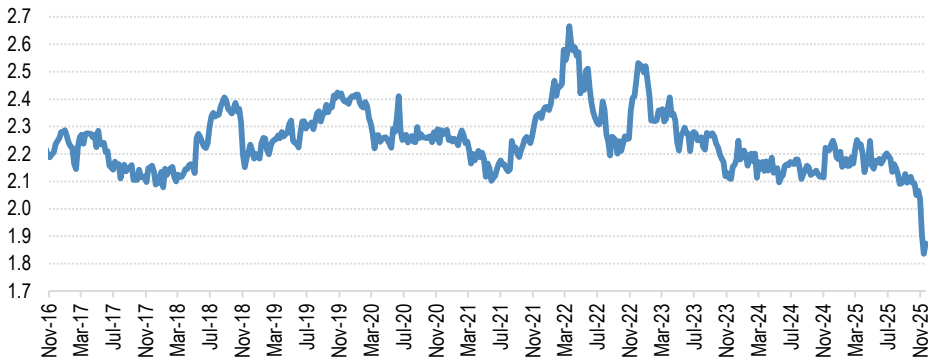
Source: Bloomberg Finance L.P.

Figure 45: Singapore Banks: Price comparison - DBS vs UOB



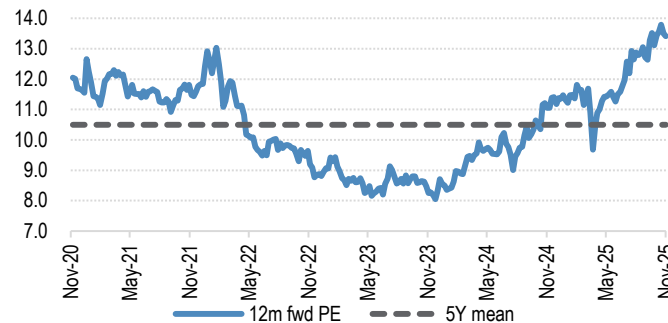
Source: Bloomberg Finance L.P.

Figure 46: Singapore Banks: Price comparison - UOB vs OCBC



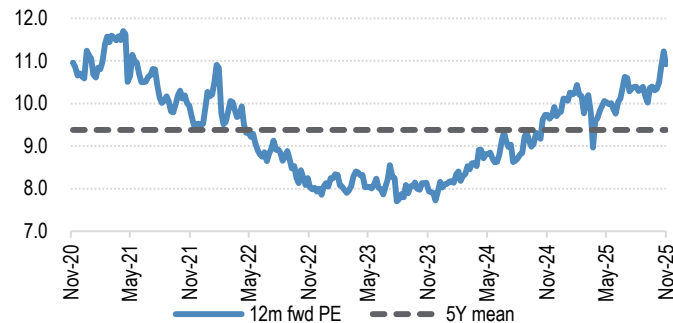
Source: Bloomberg Finance L.P.

Figure 47: DBS: 12M fwd PE



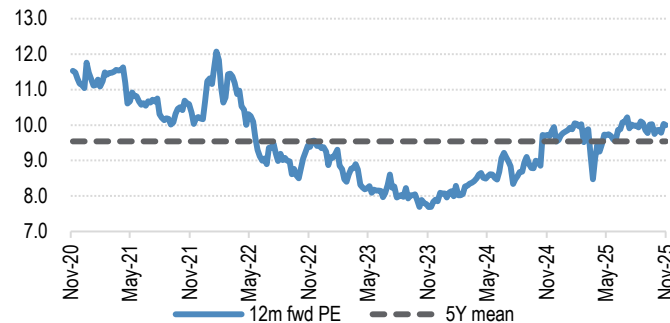
Source: Bloomberg Finance L.P.

Figure 48: OCBC: 12M fwd PE



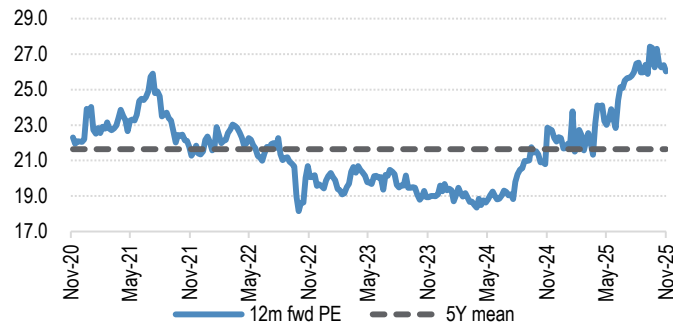
Source: Bloomberg Finance L.P.

Figure 49: UOB: 12M fwd PE



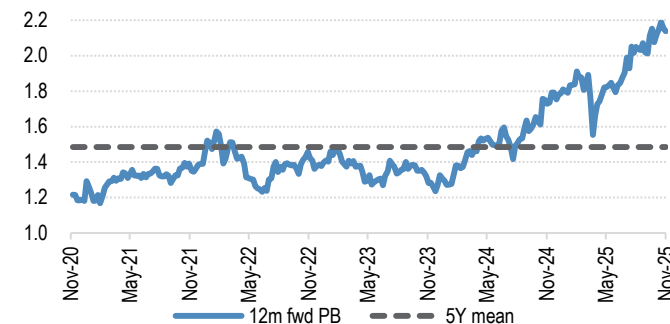
Source: Bloomberg Finance L.P.

Figure 50: SGX: 12M fwd PE



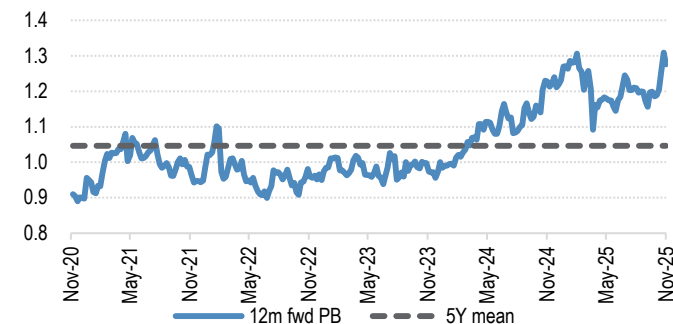
Source: Bloomberg Finance L.P.

Figure 51: DBS: 12M fwd PB



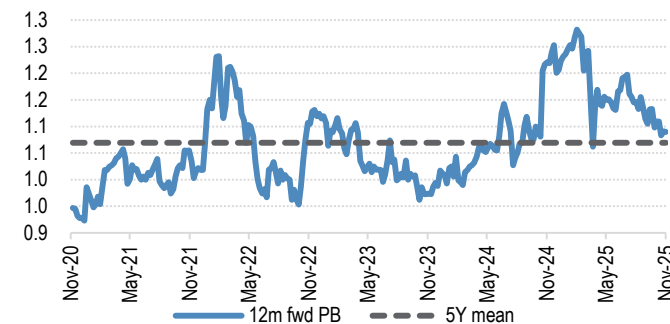
Source: Bloomberg Finance L.P.

Figure 52: OCBC: 12M fwd PB



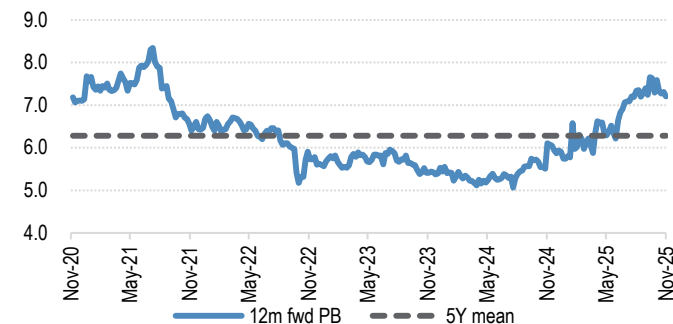
Source: Bloomberg Finance L.P.

Figure 53: UOB: 12M fwd PB



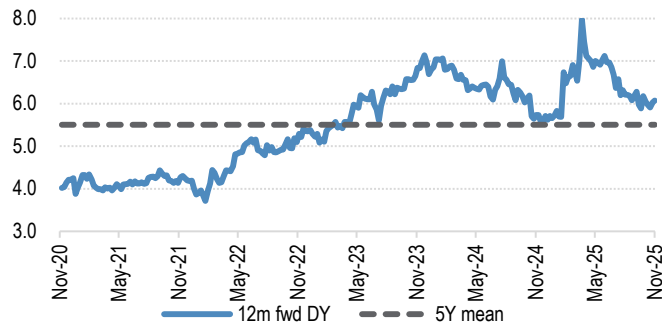
Source: Bloomberg Finance L.P.

Figure 54: SGX: 12M fwd PB



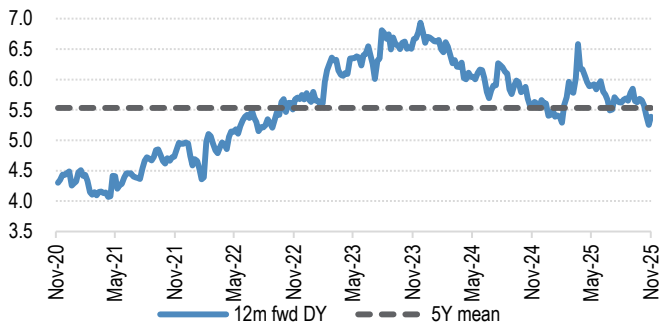
Source: Bloomberg Finance L.P.

Figure 55: DBS: 12M fwd dividend yield



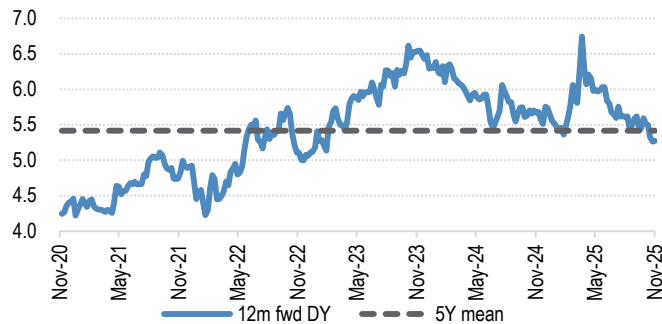
Source: Bloomberg Finance L.P.

Figure 56: OCBC: 12M fwd dividend yield



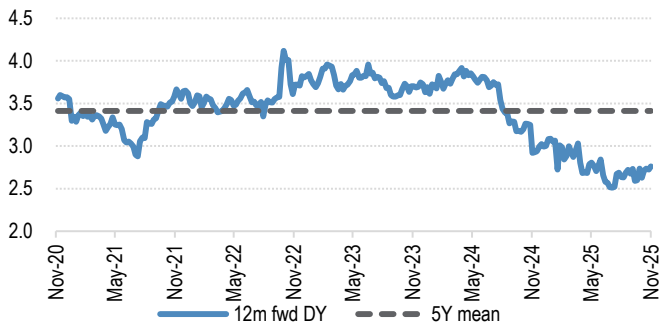
Source: Bloomberg Finance L.P.

Figure 57: UOB: 12M fwd dividend yield



Source: Bloomberg Finance L.P.

Figure 58: SGX: 12M fwd dividend yield



Source: Bloomberg Finance L.P.

Overweight

DBSM.SI, DBS SP

Price (27 Nov 25): S\$54.00

▲ **Price Target (Dec-26): S\$70.00**

Prior (Dec-26): S\$56.00

APAC Banks

Harsh Wardhan Modi ^{AC}

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2024A	2025E	2026E
Q1	1.04	1.02A	0.99
Q2	0.98	1.00A	0.99
Q3	1.06	1.04A	1.01
Q4	0.89	0.87	0.95
FY	3.97	3.93	3.94

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	16	4	7	16	13
Growth	10	16	19	25	46
Momentum	13	25	10	16	46
Quality	1	7	4	25	16
Low Vol	55	31	13	34	13
ESGQ	87	87	23	21	90

DBS Group Holdings

Best-in-class capital generation and distribution

We expect DBS to re-rate to a point where the stock becomes unjustifiably expensive. The bank is one of the few Asian financial stocks that should be part of global portfolios, in the same way that HDFC Bank, Public Bank, CMB, BCA and CBA have been, to varying degrees, over the last 20Y ([link](#)). We can't overemphasise the importance of a cash DPS commitment by a bank. DBS has committed to paying S\$66c per quarter in regular cash by 4Q25 and S\$72c by 4Q26, as per the earnings commentary. This amounts to 82% of 2027e EPS, a significant commitment, that only best-in-class banks can make and deliver. DBS is on track to generate 207bps of CET p.a. in 2025-27E (16.1% RoE, 4% RWAg), which we think would be available for distribution since stock of CET1 is high at 15.2% (Sep-25). The missing piece here is the relatively limited buyback YTD; we expect this to catch up over the next two years. Hence, we estimate the total return for the bank will be almost 7.2/7.5% in 2026/27, in S\$ terms. This adds a further 50 to 100bps to returns in US\$ terms.

Valuation

Table 8: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)	
2021	6,801	2.41	22.4	19.5	2.77	1.09	2.0%	1.01%	2.02%	12.6%	
2022	8,193	2.89	18.7	19.2	2.81	1.82	3.4%	1.13%	2.35%	14.8%	
2023	10,286	3.63	14.9	21.0	2.57	1.75	3.2%	1.38%	2.85%	17.9%	
2024	11,408	4.01	13.5	23.4	2.31	2.22	4.1%	1.45%	3.14%	18.0%	
2025E	11,249	3.97	13.6	24.6	2.19	3.06	5.7%	1.29%	3.06%	16.5%	
2026E	11,188	3.98	13.6	26.0	2.08	3.30	6.1%	1.19%	2.87%	15.7%	
2027E	11,867	4.26	12.7	26.5	2.04	3.48	6.4%	1.19%	2.89%	16.2%	
Price (\$\$)		54.00	Number of shares (mn)			2,837	Market Cap (\$\$ mn)			153,216	
Normalised RoE		PB based Valuation				PE based Valuation					
NIM (on avg. assets)		1.53%	Risk-free rate			3.85%	Fair PE			16.3x	
Non-IR/revenues		40.5%	Cost of capital			8.9%	12m Rolling EPS			\$3.98	
Cost/income		41.0%	Long term growth			4.40%	PE based Fair Value			\$64.7	
Operating RoA		1.52%	Fair PB			2.59x	Implied Value of Growth				
LLP/Loans		-0.20%	PV of Terminal Value			\$61.3	12m Rolling EPS			\$3.98	
Net RoAA		1.19%	PV of Dividends			\$3.0	Capitalized Value (\$\$)			\$44.9	
Equity/Assets		7.5%	PV of today's Fair Value			\$64.3	Value of Growth (\$\$)				\$9.1
Normalised RoE		15.9%	PB based Dec-26 Fair Value			\$70.0	Attributable to Growth			16.8%	

Annual forecasts

Table 9: DBS: Annual P&L

S\$ in mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	9,644	9,748	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,515	27,542	28,393
Interest Expense	(2,544)	(2,443)	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,994)	(13,112)	(13,229)
Net Interest Income	7,100	7,305	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,521	14,430	15,164
Non-Interest Income	3,687	4,184	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	9,051	9,763	10,376
Net Fee income	2,144	2,331	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	5,002	5,552	5,996
Trading income	1,204	1,357	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,587	1,651	1,717
Other operating income	339	496	453	179	408	1,053	542	364	1,999	2,414	2,462	2,561	2,663
Total Revenues	10,787	11,489	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,572	24,193	25,539
Costs	(4,900)	(4,972)	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,421)	(9,949)	(10,447)
PPOP	5,887	6,517	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	14,152	14,244	15,093
Loan loss provisions	(672)	(1,395)	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(763)	(934)	(978)
Other provisions	(71)	(39)	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(11)	(6)	(3)
Other income	14	-	-	-	-	-	-	-	-	-	-	-	-
Pre-Tax	5,158	5,083	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,377	13,304	14,112
Tax	(727)	(723)	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,127)	(2,115)	(2,244)
MI & EO	(113)	(122)	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,318	4,238	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	11,249	11,188	11,867
Attributable profit	4,454	4,238	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	11,149	11,088	11,767

Source: Company reports and J.P. Morgan estimates.

Table 10: DBS: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.80%	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	1.98%	1.81%	1.79%
IEA/Assets	89.5%	86.6%	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	84.6%	85.1%	85.3%
Margins (% of avg. Assets)	1.58%	1.56%	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.68%	1.54%	1.52%
Non-IR contribution	34.2%	36.4%	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	38.4%	40.4%	40.6%
Non-IR/Avg. Assets	0.82%	0.89%	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.04%	1.04%	1.04%
Revenue/Assets	2.40%	2.45%	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.72%	2.58%	2.57%
Cost/Income	45.4%	43.3%	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	40.0%	41.1%	40.9%
C/Assets	1.09%	1.06%	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.09%	1.06%	1.05%
Pre-Provision ROA	1.31%	1.39%	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.63%	1.52%	1.52%
LLP/Loans	-0.24%	-0.47%	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.17%	-0.20%	-0.20%
Loan/Assets	63.0%	63.0%	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	51.1%	48.8%	48.0%
Other Income/Assets	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.54%	1.42%	1.42%
Pre-Tax ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.54%	1.42%	1.42%
Tax Rate	-14.1%	-14.2%	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.9%	-15.9%	-15.9%
Minorities & Outside Int.	-0.03%	-0.03%	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.99%	0.89%	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.28%	1.18%	1.18%
RoRWA	1.66%	1.52%	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	3.03%	2.85%	2.86%
Equity/Assets	8.51%	8.77%	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.86%	7.59%	7.35%
ROE	11.6%	10.2%	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.3%	15.6%	16.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 11: DBS: Quarterly P&L

S\$ in mn	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	7,254	7,380	7,726	7,741	7,713	7,747	7,457	7,084	7,029	6,945	6,828	6,861	6,857	6,996
Interest Expense	(3,750)	(3,946)	(4,221)	(4,147)	(4,116)	(4,019)	(3,776)	(3,436)	(3,451)	(3,331)	(3,287)	(3,271)	(3,262)	(3,292)
Net Interest Income	3,504	3,434	3,505	3,594	3,597	3,728	3,681	3,648	3,578	3,614	3,541	3,590	3,595	3,705
Non-Interest Income	1,750	1,620	2,103	1,951	2,222	1,847	2,301	2,149	2,421	2,180	2,459	2,388	2,541	2,375
Net Fee income	843	867	1,043	1,048	1,109	968	1,275	1,167	1,357	1,203	1,395	1,339	1,460	1,358
Trading income	346	316	388	362	530	261	401	395	419	372	428	407	427	389
Other operating income	561	437	672	541	583	618	625	587	645	605	636	642	655	629
Total Revenues	5,254	5,054	5,608	5,545	5,819	5,575	5,982	5,797	5,999	5,794	5,999	5,978	6,137	6,080
Costs	(2,038)	(2,205)	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,393)	(2,544)	(2,432)	(2,420)	(2,499)	(2,597)
PPOP	3,216	2,849	3,529	3,373	3,570	3,180	3,768	3,527	3,606	3,251	3,567	3,557	3,637	3,482
Loan loss provisions	(215)	(155)	(135)	(128)	(130)	(230)	(325)	(130)	(124)	(184)	(227)	(229)	(231)	(247)
Other provisions	0	4	0	(32)	(6)	16	(6)	(9)	(6)	10	0	0	0	(6)
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	3,001	2,698	3,394	3,213	3,434	2,966	3,437	3,388	3,476	3,076	3,340	3,328	3,406	3,230
Tax	(373)	(301)	(432)	(416)	(414)	(336)	(531)	(573)	(531)	(492)	(534)	(533)	(545)	(503)
MI and EO	5	(5)	(6)	6	7	(8)	(9)	9	9	(11)	(11)	(11)	(12)	33
Core profit	2,633	2,392	2,956	2,803	3,027	2,622	2,897	2,824	2,954	2,574	2,794	2,784	2,849	2,760
Attributable profit	2,593	2,268	2,951	2,789	3,027	2,522	2,897	2,824	2,954	2,474	2,794	2,784	2,849	2,660

Source: Company reports and J.P. Morgan estimates.

Table 12: DBS: Quarterly DuPont

	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.19%	2.13%	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.96%	1.91%	1.87%	1.84%	1.81%	1.81%
IEA/Assets	84.7%	86.2%	86.7%	86.0%	85.9%	85.3%	84.4%	85.0%	84.0%	84.0%	84.1%	84.1%	84.1%	84.2%
Margins (% of avg. Ass ₁)	1.85%	1.84%	1.85%	1.84%	1.81%	1.83%	1.79%	1.74%	1.65%	1.61%	1.57%	1.55%	1.52%	1.53%
Non-IR contribution	33.3%	32.1%	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	40.4%	37.6%	41.0%	39.9%	41.4%	39.1%
Non-IR/Avg. Assets	0.93%	0.87%	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.12%	0.98%	1.08%	1.03%	1.07%	0.99%
Revenue/Assets	2.80%	2.72%	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.78%	2.59%	2.63%	2.57%	2.59%	2.52%
Cost/Income	38.8%	43.6%	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	39.9%	43.9%	40.5%	40.5%	40.7%	42.7%
C/Assets	1.08%	1.19%	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.11%	1.14%	1.06%	1.04%	1.06%	1.08%
Pre-Provision ROA	1.7%	1.5%	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.7%	1.5%	1.6%	1.5%	1.5%	1.4%
LLP/Loans	-0.20%	-0.15%	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.11%	-0.17%	-0.20%	-0.20%	-0.20%	-0.21%
Loan/Assets	56.4%	57.1%	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	51.2%	49.9%	49.4%	49.0%	48.6%	48.3%
Other Income/Assets	0.00%	0.00%	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.60%	1.45%	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.62%	1.37%	1.46%	1.43%	1.44%	1.34%
Pre-Tax ROA	1.60%	1.45%	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.61%	1.38%	1.46%	1.43%	1.44%	1.34%
Tax Rate	-12.4%	-11.2%	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-15.3%	-16.0%	-16.0%	-16.0%	-16.0%	-15.6%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%
ROA	1.38%	1.22%	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.37%	1.11%	1.22%	1.20%	1.20%	1.10%
RoRWA	2.78%	2.44%	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	3.27%	2.65%	2.91%	2.85%	2.87%	2.66%
Equity/Assets	7.58%	7.90%	7.95%	7.89%	8.09%	8.12%	7.96%	7.87%	7.60%	7.53%	7.76%	7.76%	7.65%	7.54%
ROE	18.2%	15.4%	19.5%	17.9%	18.9%	15.3%	17.4%	17.0%	18.0%	14.7%	15.8%	15.4%	15.7%	14.6%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	23.5%	0.8%	7.6%	29.0%
Rel	4.4%	-0.8%	1.4%	7.4%

Company Data

Shares O/S (mn)	2,838
52-week range (\$\$)	55.59-36.30
Market cap (\$ mn)	118,096
Exchange rate	1.30
Free float (%)	71.6%
3M ADV (mn)	4.24
3M ADV (\$ mn)	172.5
Volatility (90 Day)	16
Index	FTSTI
BBG ANR (Buy Hold Sell)	9 6 3

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	14,424	14,521	14,430	15,164
Non interest income	8,123	9,051	9,763	10,376
Operating expenses	(8,895)	(9,421)	(9,949)	(10,447)
Adj. PPOP	13,652	14,152	14,244	15,093
Provision for loan losses	(623)	(763)	(934)	(978)
Adj. PBT	12,888	13,277	13,204	14,012
Adj. net income	11,289	11,149	11,088	11,767
Adj. EPS	3.97	3.93	3.94	4.22
BBG EPS	3.97	3.95	4.01	4.25
DPS	2.22	3.06	3.32	3.50
Loans	430,594	443,203	461,214	482,861
Deposits	561,730	614,825	669,048	700,312
Total Assets	827,219	905,091	972,823	1,018,515
Margins and Growth				
NIM	2.1%	2.0%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	76.7%	72.1%	68.9%	68.9%
NPL / Loans	1.1%	1.0%	1.0%	1.1%
Coverage	127.4%	129.6%	125.4%	114.3%
CET 1	-	-	-	-
Non-int. income/ Income	36.0%	38.4%	40.4%	40.6%
Cost/Income	39.5%	40.0%	41.1%	40.9%
LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.4%	1.3%	1.2%	1.2%
ROE	17.9%	16.4%	15.6%	16.1%
Valuation				
Dividend yield	4.1%	5.7%	6.1%	6.5%
Adj. P/E	13.6	13.7	13.7	12.8
P/ BV	2.31	2.19	2.08	2.04

Summary Investment Thesis and Valuation

Investment Thesis

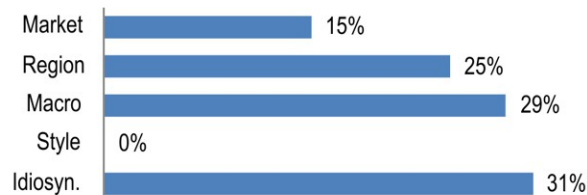
We are OW on DBS.

- The bank's commitment to and delivery of pay-outs in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 202E vs. 63% in 2017). Higher rates potentially in 2027, coupled with deposit franchise (legacy S\$, incrementally US\$) will allow the bank to sustain NII gr over next 5Y (on top of 2% NII CAGR in 2024-27).
- DBS has delivered one of the best RoE expansions in the last decade as technology and process led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.6x, assuming a normalized RoE of 15.9%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.4%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.70	0.49
Region: Singapore	0.61	0.69
Macro:		
HSI Volatility Index	-0.59	-0.57
JP Morgan EMBI Global Spread	-0.46	-0.29
JPM China A-shares Sentiment	-0.10	-0.23
Quant Styles:		
Growth	-0.05	0.29
Momentum	-0.09	0.25
DivYld	0.29	-0.10

DBS Group Holdings (Overweight; Price Target: S\$70.00)

Investment Thesis

We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2027E vs. 63% in 2017). We think higher rates potentially in 2027, coupled with deposit franchise (legacy S\$, incrementally US\$) will allow the bank to sustain NII gr over the next 5Y (on top of 2% NII CAGR in 2024-27).
- DBS has delivered one of the best RoE expansions in the last decade as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- WM continues to underpin non-II, while asset quality appears intact. The bank has reduced its rate sensitivity, which is helping to improve capital generation visibility.
- We expect 2026 EPS to mark a low for next 5Y. Hence, regular DPS of S\$2.88 and part of the special can stay intact. We estimate the bank can potentially pay \$3.30 DPS (2026E) for years to come.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.6x, assuming a normalized RoE of 15.9%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.4%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in DPS; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance on sustained inflows into SG.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration, potentially from trade-related exposure or CRE; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition would come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	27,862	30,927	28,515	27,542	28,393	Cash and cash equivalents	0	0	0	0	0
Interest expense	(14,220)	(16,503)	(13,994)	(13,112)	(13,229)	Deposits with banks	117,674	139,061	166,801	178,026	178,944
Net interest income	13,642	14,424	14,521	14,430	15,164	Net loans	416,163	430,594	443,203	461,214	482,861
Non interest income	6,752	8,123	9,051	9,763	10,376	PP&E	3,689	3,873	3,873	3,989	4,109
o/w Fee income	3,384	4,168	5,002	5,552	5,996	Net intangibles	6,313	6,372	6,372	6,372	6,372
o/w Trading income	1,369	1,541	1,587	1,651	1,717	LT investments	154,787	189,665	229,495	266,214	287,511
Net revenues	20,394	22,547	23,572	24,193	25,539	Other assets	40,675	57,654	55,348	57,008	58,719
Non interest expense	(8,056)	(8,895)	(9,421)	(9,949)	(10,447)	Total assets	739,301	827,219	905,091	972,823	1,018,515
o/w Employee costs	0	0	0	0	0	Interest earning assets	694,613	765,410	845,409	911,458	955,319
Pre-Prov. Profits	12,338	13,652	14,152	14,244	15,093	Deposits	535,103	561,730	614,825	669,048	700,312
Provisions	(591)	(623)	(763)	(934)	(978)	Borrowings	96,102	133,343	161,142	170,532	180,471
Adj. PBT	11,515	12,888	13,277	13,204	14,012	Other liabilities	48,241	65,705	59,374	60,401	64,025
Income taxes	(1,452)	(1,598)	(2,127)	(2,115)	(2,244)	Total liabilities	679,446	760,778	835,341	899,981	944,808
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	59,673	66,394	69,703	72,796	73,660
Adj. Net profit	10,062	11,289	11,149	11,088	11,767	Minority interests	182	47	47	47	47
PPOP per share	4.35	4.80	5.00	5.08	5.44	Total liabilities and Shareholder equity	739,301	827,219	905,091	972,823	1,018,515
Reported EPS	3.55	3.97	3.93	3.94	4.22	Interest bearing liabilities	604,787	604,787	698,744	767,385	817,173
Adj. EPS	3.55	3.97	3.93	3.94	4.22	Book Value Per Share	21.03	23.38	24.62	25.97	26.53
DPS	1.75	2.22	3.06	3.32	3.50	Tangible Book Value Per Share	21.03	23.38	24.62	25.97	26.53
Diluted shares outstanding	2,836	2,843	2,835	2,817	2,790						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	77.8%	76.7%	72.1%	68.9%	68.9%	Loan loss reserves/Loans	(1.4%)	(1.4%)	(1.3%)	(1.3%)	(1.2%)
Investment/Assets	20.1%	22.0%	24.2%	26.4%	27.8%	NPLs/Loans	1.1%	1.1%	1.0%	1.0%	1.1%
Loan/Assets	56.8%	54.8%	51.1%	48.8%	48.0%	Loan loss reserves/NPLs	124.3%	127.5%	128.5%	127.5%	119.6%
Customer deposits/Liabilities	78.8%	73.8%	73.6%	74.3%	74.1%	NPL y/y growth	(1.3%)	1.8%	(4.6%)	4.9%	9.8%
LT debt/Liabilities	13.7%	15.9%	18.5%	19.1%	19.0%	Tier 1 ratio	15.3%	17.7%	17.3%	16.6%	15.8%
						CAR	16.1%	18.6%	18.1%	17.4%	16.6%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.1%	2.0%	1.8%	1.8%	Return on equity (ROE)	17.6%	17.9%	16.4%	15.6%	16.1%
Non interest income/Net revenue	33.1%	36.0%	38.4%	40.4%	40.6%	Return on assets (ROA)	1.4%	1.4%	1.3%	1.2%	1.2%
Non interest income/Avg. Assets	0.9%	1.0%	1.0%	1.0%	1.0%	Operating ROA	1.6%	1.7%	1.5%	1.4%	1.4%
Efficiency ratio	39.5%	39.5%	40.0%	41.1%	40.9%	Pre-Tax ROA	1.6%	1.6%	1.5%	1.4%	1.4%
Leverage ratio	7.6%	8.0%	7.6%	7.0%	6.7%	Pre-Provision ROA	1.7%	1.7%	1.6%	1.5%	1.5%
Revenue/Assets	2.8%	2.9%	2.7%	2.6%	2.6%	Tax rate	12.6%	12.4%	16.0%	16.0%	16.0%
RORWA	2.8%	3.1%	3.0%	2.8%	2.9%						
RWA	368,363	352,002	380,138	398,858	422,684	Net loans y/y growth	0.4%	3.5%	2.9%	4.1%	4.7%
Avg. RWA	357,629	360,183	366,070	389,498	410,771	Assets y/y growth	(0.5%)	11.9%	9.4%	7.5%	4.7%
Avg. IEA	634,435	676,148	732,922	799,374	849,384	RWA y/y growth	6.2%	(4.4%)	8.0%	4.9%	6.0%
Gross Loans	422,152	436,684	449,113	467,217	488,864	Deposits y/y growth	1.5%	5.0%	9.5%	8.8%	4.7%
Avg. IBL	604,787	604,787	698,744	767,385	817,173	Net interest income y/y growth	24.7%	5.7%	0.7%	(0.6%)	5.1%
LLR	(5,989)	(6,090)	(5,910)	(6,004)	(6,004)	Revenues y/y growth	22.1%	10.6%	4.5%	2.6%	5.6%
NPLs	4,697	4,780	4,562	4,786	5,253	Adj. EPS y/y growth	22.6%	11.9%	(1.0%)	0.1%	7.2%
P/BV (x)	2.57	2.31	2.19	2.08	2.04	BVPS y/y growth	9.3%	11.1%	5.3%	5.5%	2.2%
Adj. P/E (x)	15.2	13.6	13.7	13.7	12.8	IE assets/Assets	85.6%	86.3%	84.6%	85.1%	85.3%
Dividend yield	3.2%	4.1%	5.7%	6.1%	6.5%	Margins (as % of Avg. Assets)	1.7%	1.7%	1.5%	1.4%	1.4%
Dividend payout	49.2%	55.9%	77.9%	84.3%	82.9%	LLP/Loans	(0.1%)	(0.1%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	7.7%	8.0%	7.9%	7.6%	7.4%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	13.0	12.4	12.7	13.2	13.6

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

▲ Overweight

Previous: Neutral

OCBC.SI, OCBC SP

Price (27 Nov 25): S\$18.27

▲ **Price Target (Dec-26): S\$20.00**

Prior (Dec-26): S\$17.00

APAC Banks

Harsh Wardhan Modi ^{AC}

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ%
Adj. EPS - 26E (S\$)	1.54	1.60	3.5

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2024A	2025E	2026E
Q1	0.44	0.42A	0.40
Q2	0.43	0.40A	0.40
Q3	0.44	0.43A	0.40
Q4	0.37	0.36	0.40
FY	1.67	1.61	1.60

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	7	10	13	13	16
Growth	13	13	22	19	61
Momentum	43	31	22	10	61
Quality	7	10	7	13	28
Low Vol	25	7	4	22	1
ESGQ	4	14	87	24	1

OCBC Bank

Financial conglomerate, ticks the GARP box, upgrade to OW

The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being main acquisitions/stake increases in last 20 years, and Lion Global being a product of the merger between OCBC/GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025E, with RoE lagging DBS but better than UOB. The track record suggests OCBC is more likely to use excess capital to buy other assets rather than to increase its payout significantly. Yet, management has hinted at but not promised increasing pay-out ratios. We believe consensus is for the bank to move closer to a 60% payout, which we concur with. Once the payout for OCBC officially moves higher, we expect the stock to do well both in anticipation of and post the move. This, along with consistent WM delivery, should lead to a re-rating. Further, AQ risks at UOB and valuations at DBS have led investors to look for a GARP alternative in Singapore financials space, where we think OCBC stands out.

Table 13: OCBC: Valuation

	Net Inc	Core EPS	Core P/E	BVPS	P/B	Dividend	Div Yld	RoA	RoRWA	RoE
	(\$ mn)	(\$)	(x)	(\$)	(x)	(\$)	(%)	(%)	(%)	(%)
2021	4,812	1.07	17.1	11.5	1.59	0.53	2.9%	0.90%	2.19%	9.7%
2022	5,691	1.27	14.4	11.4	1.60	0.68	3.7%	1.03%	2.52%	11.1%
2023	6,986	1.55	11.8	11.8	1.55	0.82	4.5%	1.22%	3.00%	13.4%
2024	7,519	1.67	10.9	12.7	1.44	1.01	5.5%	1.25%	3.21%	13.7%
2025E	7,226	1.61	11.4	13.3	1.37	1.01	5.5%	1.12%	2.96%	12.4%
2026E	7,126	1.60	11.4	13.9	1.32	1.01	5.5%	1.04%	2.70%	11.8%
2027E	7,584	1.71	10.7	14.5	1.26	1.01	5.5%	1.04%	2.66%	12.1%
Price (\$)		18.27	Number of shares (mn)			4,515	Market Cap (\$ mn)			82,489
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		1.32%	Risk-free rate			4.1%	Fair PE			11.5x
Non-IR/revenues		38.5%	Cost of capital			9.9%	12m Rolling EPS			\$S1.60
Cost/income		41.6%	Long term growth			4.3%	PE based Dec-26 Fair Value			\$S18.4
Operating RoA		1.25%	Fair PB			1.39x	Implied Value of Growth			
LLP/Loans		-0.20%	PV of Terminal Value			\$S17.5	12m Rolling EPS			\$S1.60
Net RoAA		1.07%	PV of Dividends			\$S0.9	Capitalized Value (\$)			\$16.14
Equity/Assets		8.8%	PV of today's Fair Value			\$S18.4	Value of Growth (\$)			\$2.13
Normalised RoE		12.1%	PB based Dec-26 Fair Value			\$S20.3	Attributable to Growth			11.7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 27th Nov, 2025.

Annual forecasts

Table 14: OCBC: Annual P&L

S\$ in mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,607	8,486	8,368	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	19,958	18,735	19,185
Interest Expense	(2,871)	(3,297)	(3,316)	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(10,905)	(9,941)	(9,956)
Net Interest Income	4,736	5,189	5,052	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,053	8,794	9,229
Non-Interest Income	3,182	3,530	3,437	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,420	5,616	5,936
Net Fee income	1,495	1,643	1,638	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,413	2,606	2,763
Trading income	498	756	727	946	524	1,148	1,071	855	628	1,250	1,831	1,933	1,883	1,990
Other operating income	1,189	1,131	1,072	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,073	1,127	1,183
Total Revenues	7,918	8,719	8,489	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,472	14,410	15,164
Costs	(3,258)	(3,664)	(3,788)	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,900)	(6,088)	(6,332)
PPOP	4,660	5,055	4,701	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,573	8,322	8,832
Loan loss provisions	(359)	(409)	(656)	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(631)	(623)	(721)
Other provisions	(72)	(177)	(166)	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(59)	(59)	(59)
Other income	112	353	396	389	455	566	612	824	978	953	994	1,118	1,252	1,403
Pre-Tax	4,341	4,822	4,275	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	9,001	8,892	9,455
Tax	(687)	(717)	(629)	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,530)	(1,512)	(1,607)
Minorities and Hybrids	(234)	(205)	(173)	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(177)	(186)	(195)
Core Reported profit	3,420	3,900	3,473	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,294	7,195	7,652
Profits to Equity SHs	3,785	3,844	3,414	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,226	7,126	7,584

Source: Company reports and J.P. Morgan estimates.

Table 15: OCBC: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.68%	1.67%	1.67%	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.92%	1.76%	1.74%
IEA/Assets	76.1%	78.4%	75.7%	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.2%	72.9%	72.9%
Margins (% of avg. Assets)	1.28%	1.31%	1.26%	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.40%	1.28%	1.27%
Non-IR contribution	40.2%	40.5%	40.5%	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	37.4%	39.0%	39.1%
Non-IR/Avg. Assets	0.86%	0.89%	0.86%	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.84%	0.82%	0.82%
Revenue/Assets	2.14%	2.20%	2.12%	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.24%	2.10%	2.09%
Cost/Income	41.1%	42.0%	44.6%	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.8%	42.3%	41.8%
C/Assets	0.88%	0.93%	0.95%	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.91%	0.89%	0.87%
Pre-Provision ROA	1.26%	1.28%	1.18%	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.33%	1.21%	1.22%
LLP/Loans	-0.19%	-0.19%	-0.30%	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.19%	-0.18%	-0.20%
Loan/Assets	51.3%	53.1%	53.8%	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.5%	49.4%	48.6%
Other Income/Assets	0.01%	0.04%	0.06%	0.05%	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.16%	0.17%	0.18%
Operating ROA	1.16%	1.17%	1.01%	1.15%	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.23%	1.12%	1.12%
Pre-Tax ROA	1.17%	1.22%	1.07%	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.40%	1.30%	1.30%
Tax Rate	-15.8%	-14.9%	-14.7%	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.06%	-0.05%	-0.04%	-0.06%	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.03%	-0.03%	-0.03%
ROA	1.04%	0.99%	0.87%	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.13%	1.05%	1.05%
RoRWA	2.27%	2.05%	1.78%	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	2.96%	2.70%	2.66%
Equity/Assets	7.2%	7.9%	8.6%	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.1%	9.0%	8.8%	8.6%
ROE	14.4%	12.4%	10.1%	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.8%	12.5%	11.9%	12.2%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 16: OCBC: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	5,615	5,615	5,596	5,617	5,410	4,994	4,824	4,729	4,652	4,635	4,669	4,779
Interest Expense	(3,178)	(3,185)	(3,163)	(3,162)	(3,065)	(2,711)	(2,598)	(2,530)	(2,487)	(2,468)	(2,464)	(2,521)
Net Interest Income	2,437	2,430	2,433	2,455	2,345	2,283	2,226	2,199	2,165	2,167	2,205	2,257
Non-Interest Income	1,189	1,199	1,369	961	1,310	1,264	1,570	1,276	1,382	1,371	1,418	1,446
Net Fee income	479	466	508	517	546	580	683	604	628	647	680	651
Trading income	421	439	628	343	458	458	576	441	454	454	464	511
Other operating income	289	294	233	101	306	226	311	230	299	269	274	284
Total Revenues	3,626	3,629	3,802	3,416	3,655	3,547	3,796	3,474	3,547	3,537	3,623	3,703
Costs	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,389)	(1,519)	(1,577)	(1,472)	(1,472)	(1,548)	(1,596)
PPOP	2,280	2,256	2,339	1,856	2,240	2,158	2,277	1,898	2,075	2,066	2,074	2,107
Loan loss provisions	(169)	(55)	(169)	(297)	(212)	(87)	(139)	(193)	(151)	(152)	(154)	(166)
Other provisions	(25)	(111)	(7)	84	(5)	(33)	(5)	(16)	(16)	(16)	(16)	(11)
Other income	255	243	251	245	274	263	279	302	296	305	314	337
Pre-Tax	2,341	2,333	2,414	1,888	2,297	2,301	2,412	1,991	2,204	2,203	2,219	2,267
Tax	(344)	(310)	(339)	(235)	(390)	(439)	(378)	(323)	(353)	(352)	(355)	(452)
Minorities and Hybrids	(15)	(79)	(101)	34	(24)	(46)	(56)	(51)	(51)	(51)	(51)	(32)
Core Reported profits	1,982	1,944	1,974	1,687	1,883	1,816	1,978	1,617	1,800	1,799	1,812	1,783
Profits to Equity SHs	1,965	1,927	1,957	1,670	1,866	1,799	1,961	1,600	1,783	1,782	1,795	1,766

Source: Company reports and J.P. Morgan estimates.

Table 17: OCBC: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.27%	2.20%	2.18%	2.15%	2.04%	1.92%	1.84%	1.80%	1.79%	1.76%	1.75%	1.75%
IEA/Assets	73.3%	74.2%	74.0%	74.0%	74.0%	74.4%	74.3%	73.7%	73.4%	73.4%	73.3%	73.3%
Margins (% of avg. Assets)	1.66%	1.63%	1.61%	1.59%	1.51%	1.43%	1.37%	1.33%	1.32%	1.29%	1.28%	1.28%
Non-IR contribution	32.8%	33.0%	36.0%	28.1%	35.8%	35.6%	41.4%	36.7%	39.0%	38.7%	39.1%	39.0%
Non-IR/Avg. Assets	0.81%	0.80%	0.91%	0.63%	0.83%	0.79%	0.97%	0.78%	0.83%	0.81%	0.83%	0.83%
Revenue/Assets	2.46%	2.43%	2.53%	2.23%	2.32%	2.21%	2.35%	2.12%	2.13%	2.10%	2.12%	2.12%
Cost/Income	37.1%	37.8%	38.5%	45.7%	38.7%	39.2%	40.0%	45.4%	41.5%	41.6%	42.7%	43.1%
C/Assets	0.91%	0.92%	0.97%	1.02%	0.90%	0.87%	0.94%	0.96%	0.88%	0.87%	0.91%	0.92%
Pre-Provision ROA	1.55%	1.51%	1.56%	1.21%	1.42%	1.35%	1.41%	1.16%	1.24%	1.23%	1.22%	1.21%
LLP/Loans	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.11%	-0.17%	-0.23%	-0.18%	-0.18%	-0.18%	-0.19%
Loan/Assets	50.7%	50.6%	50.7%	50.9%	50.8%	50.5%	50.4%	50.2%	50.0%	49.9%	49.9%	49.3%
Other Income/Assets	0.16%	0.09%	0.16%	0.21%	0.17%	0.14%	0.17%	0.17%	0.17%	0.17%	0.17%	0.19%
Operating ROA	1.43%	1.47%	1.45%	1.02%	1.29%	1.29%	1.32%	1.04%	1.15%	1.14%	1.13%	1.11%
Pre-Tax ROA	1.59%	1.56%	1.61%	1.23%	1.46%	1.44%	1.49%	1.21%	1.32%	1.31%	1.30%	1.30%
Tax Rate	-14.7%	-13.3%	-14.0%	-12.5%	-17.0%	-19.1%	-15.7%	-16.2%	-16.0%	-16.0%	-16.0%	-19.9%
Minorities & Outside Int.	-0.01%	-0.05%	-0.07%	0.02%	-0.01%	-0.03%	-0.03%	-0.03%	-0.03%	-0.03%	-0.03%	-0.02%
ROA	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.21%	0.98%	1.07%	1.06%	1.05%	1.01%
RoRWA	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	3.28%	2.58%	2.78%	2.73%	2.70%	2.60%
Equity/Assets	9.13%	9.15%	9.18%	9.18%	9.24%	9.19%	8.98%	8.94%	8.84%	8.78%	8.91%	8.83%
ROE	14.6%	14.1%	14.2%	11.9%	12.8%	12.2%	13.5%	10.9%	12.1%	12.0%	11.8%	11.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	9.5%	8.4%	9.7%	13.6%
Rel	-9.6%	6.9%	3.5%	-8.0%

Company Data

Shares O/S (mn)	4,490
52-week range (\$S)	18.80-14.21
Market cap (\$ mn)	63,222
Exchange rate	1.30
Free float (%)	85.2%
3M ADV (mn)	5.59
3M ADV (\$ mn)	74.0
Volatility (90 Day)	12
Index	FTSTI
BBG ANR (Buy Hold Sell)	9 8 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,755	9,053	8,794	9,229
Non interest income	4,718	5,420	5,616	5,936
Operating expenses	(5,742)	(5,900)	(6,088)	(6,332)
Adj. PPOP	8,731	8,573	8,322	8,832
Provision for loan losses	(690)	(631)	(623)	(721)
Adj. PBT	8,976	9,001	8,892	9,455
Adj. net income	7,519	7,226	7,126	7,584
Adj. EPS	1.67	1.61	1.60	1.71
BBG EPS	1.71	1.63	1.66	1.73
DPS	1.01	1.01	1.01	1.01
Loans	315,096	327,496	341,471	355,992
Deposits	390,687	419,478	452,740	478,707
Total Assets	625,050	664,668	708,447	745,193
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	80.7%	78.1%	75.4%	74.4%
NPL / Loans	0.9%	0.9%	0.9%	0.9%
Coverage	144.0%	142.6%	139.1%	138.0%
CET 1	-	-	-	-
Non-int. income/ Income	32.6%	37.4%	39.0%	39.1%
Cost/Income	39.7%	40.8%	42.3%	41.8%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.2%	1.1%	1.0%	1.0%
ROE	13.7%	12.4%	11.8%	12.1%
Valuation				
Dividend yield	5.5%	5.5%	5.5%	5.5%
Adj. P/E	10.9	11.4	11.4	10.7
P/ BV	1.44	1.37	1.32	1.26

Summary Investment Thesis and Valuation

Investment Thesis

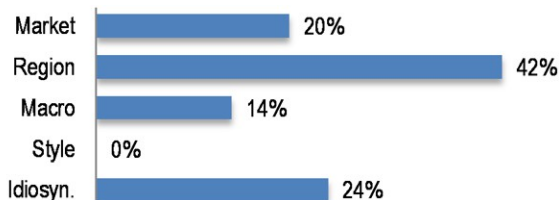
We are OW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being main acquisitions/stake increases in the last 20 years, and Lion Global being a product of the merger between OCBC/ GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025E.
- The track-record suggests OCBC is more likely to use excess capital to buy new assets rather than to increase its payout significantly. Yet, management has hinted at but not promised increasing payout ratios. We believe consensus is for the bank to move closer to 60% payout, which we concur with. Once the payout for OCBC officially moves higher, we expect the stock to do well in anticipation and post the move as well.

Valuation

Our Dec-26 PT of S\$20 is based on a fair P/B of 1.39x assuming a normalized RoE of 12.1%, a risk-free rate of 4.1%, a cost of capital of 9.9% and a growth rate of 4.3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.69	0.45
Region: Singapore	0.69	0.77
Macro:		
HSI Volatility Index	-0.65	-0.62
JPM China A-shares Sentiment	-0.15	-0.32
Citi Economic Surprise - EM	0.34	0.19
Quant Styles:		
Growth	-0.07	0.28
Momentum	0.01	0.26
Size	-0.04	0.13

Investment Thesis, Valuation and Risks

OCBC Bank (*Overweight; Price Target: S\$20.00*)

Investment Thesis

We are OW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being main acquisitions/stake increases in last 20 years, with Lion Global being a product of merger between OCBC/GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025.
- The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. Yet, the management has hinted but not promised increasing payout ratios. We believe consensus is for the bank to move closer to 60% payout, which we concur with. Once the payout for OCBC officially moves higher, we expect the stock to do well in anticipation and post the move as well.
- We assume that the absolute DPS will stay steady in 2025-27, despite EPS movements. A potential risk is if the bank allows DPS to reduce in line with EPS. We further forecast S\$500-600mn of buyback every year, which adds about 0.8% to total returns.
- We think this, along with consistent WM delivery, should lead to a re-rating. The bank is benefitting from significant inflows of funds into Singapore, and in SGD. The preference for NII growth suggests that the risks to NIM may be higher as rates reset lower.
- AQ risks at UOB and valuations at DBS have led investors to look for a GARP alternative in Singapore financials space, where OCBC stands out.
- The bank's track record on inorganic growth could lead to near-term risks if growth in Greater China is via inorganic means and transactions are not immediately accretive.

Valuation

Our Dec-26 PT of S\$20 is based on a fair P/B of 1.39x, assuming a normalized RoE of 12.1%, a risk-free rate of 4.1%, a cost of capital of 9.9% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside catalysts include a significant improvement in DPS, a meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which could drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	20,867	22,444	19,958	18,735	19,185	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,222)	(12,689)	(10,905)	(9,941)	(9,956)	Deposits with banks	72,337	77,006	79,946	84,396	86,614
Net interest income	9,645	9,755	9,053	8,794	9,229	Net loans	292,754	315,096	327,496	341,471	355,992
Non interest income	3,862	4,718	5,420	5,616	5,936	PP&E	3,528	3,725	3,725	3,911	4,107
o/w Fee income	1,804	1,970	2,413	2,606	2,763	Net intangibles	4,501	4,504	4,504	4,504	4,504
o/w Trading income	1,250	1,831	1,933	1,883	1,990	LT investments	102,200	113,454	128,203	147,433	162,177
Net revenues	13,507	14,473	14,472	14,410	15,164	Other assets	106,104	111,265	120,794	126,731	131,800
Non interest expense	(5,223)	(5,742)	(5,900)	(6,088)	(6,332)	Total assets	581,424	625,050	664,668	708,447	745,193
o/w Employee costs	0	0	0	0	0	Interest earning assets	451,211	484,270	511,342	544,825	573,214
Pre-Prov. Profits	8,284	8,731	8,573	8,322	8,832	Deposits	363,770	390,687	419,478	452,740	478,707
Provisions	(733)	(690)	(631)	(623)	(721)	Borrowings	26,553	31,553	29,975	31,474	33,048
Adj. PBT	8,401	8,976	9,001	8,892	9,455	Other liabilities	136,797	144,580	154,675	161,666	168,354
Income taxes	(1,236)	(1,228)	(1,530)	(1,512)	(1,607)	Total liabilities	527,120	566,820	604,129	645,880	680,109
Minority interest	(144)	(161)	(177)	(186)	(195)	Shareholder equity	52,920	57,166	59,475	61,502	64,020
Adj. Net profit	6,986	7,519	7,226	7,126	7,584	Minority interests	1,384	1,064	1,064	1,064	1,064
PPOP per share	1.84	1.94	1.91	1.87	2.00	Total liabilities and Shareholder equity	581,424	625,050	664,668	708,447	745,193
Reported EPS	1.55	1.67	1.61	1.60	1.71	Interest bearing liabilities	401,207	433,805	462,175	496,936	524,985
Adj. EPS	1.55	1.67	1.61	1.60	1.71	Book Value Per Share	11.78	12.70	13.30	13.86	14.53
DPS	0.82	1.01	1.01	1.01	1.01	Tangible Book Value Per Share	11.47	12.47	13.06	13.62	14.29
Diluted shares outstanding	4,507	4,502	4,491	4,460	4,427						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	80.5%	80.7%	78.1%	75.4%	74.4%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	16.8%	17.9%	18.7%	20.1%	21.3%	NPLs/Loans	0.9%	0.9%	0.9%	0.9%	0.9%
Loan/Assets	51.8%	51.0%	50.5%	49.4%	48.6%	Loan loss reserves/NPLs	119.8%	141.5%	143.3%	140.8%	138.5%
Customer deposits/Liabilities	69.0%	68.9%	69.4%	70.1%	70.4%	NPL y/y growth	(17.1%)	0.8%	7.9%	5.4%	5.4%
LT debt/Liabilities	4.7%	5.3%	5.3%	4.9%	4.9%	Tier 1 ratio	16.5%	17.8%	17.2%	16.4%	15.9%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	-	-	-	-	-	Return on equity (ROE)	13.4%	13.7%	12.4%	11.8%	12.1%
Non interest income/Net revenue	28.6%	32.6%	37.4%	39.0%	39.1%	Return on assets (ROA)	1.2%	1.2%	1.1%	1.0%	1.0%
Non interest income/Avg. Assets	0.7%	0.8%	0.8%	0.8%	0.8%	Operating ROA	1.3%	1.3%	1.2%	1.1%	1.1%
Efficiency ratio	38.7%	39.7%	40.8%	42.3%	41.8%	Pre-Tax ROA	1.5%	1.5%	1.4%	1.3%	1.3%
Leverage ratio	6.8%	7.0%	6.8%	6.6%	6.5%	Pre-Provision ROA	1.5%	1.4%	1.3%	1.2%	1.2%
Revenue/Assets	2.4%	2.4%	2.2%	2.1%	2.1%	Tax rate	14.7%	13.7%	17.0%	17.0%	17.0%
RORWA	3.0%	3.2%	2.9%	2.7%	2.6%						
RWA	236,694	236,288	255,897	276,294	298,077	Net loans y/y growth	0.4%	7.6%	3.9%	4.3%	4.3%
Avg. RWA	234,171	236,491	246,093	266,096	287,186	Assets y/y growth	3.8%	7.5%	6.3%	6.6%	5.2%
Avg. IEA	423,065	443,419	471,921	500,624	529,951	RWA y/y growth	2.2%	(0.2%)	8.3%	8.0%	7.9%
Gross Loans	296,653	319,166	331,845	345,945	360,669	Deposits y/y growth	3.9%	7.4%	7.4%	7.9%	5.7%
Avg. IBL	395,876	414,257	444,504	475,823	506,984	Net interest income y/y growth	25.5%	1.1%	(7.2%)	(2.9%)	4.9%
LLR	(3,899)	(4,070)	(4,349)	(4,474)	(4,677)	Revenues y/y growth	15.7%	7.2%	(0.0%)	(0.4%)	5.2%
NPLs	2,805	2,827	3,050	3,216	3,389	Adj. EPS y/y growth	22.0%	7.7%	(3.7%)	(0.7%)	7.2%
P/BV (x)	1.55	1.44	1.37	1.32	1.26	BVPS y/y growth	3.0%	7.9%	4.7%	4.2%	4.9%
Adj. P/E (x)	11.8	10.9	11.4	11.4	10.7	IE assets/Assets	74.1%	73.5%	73.2%	72.9%	72.9%
Dividend yield	4.5%	5.5%	5.5%	5.5%	5.5%	Margins (as % of Avg. Assets)	1.6%	1.5%	1.3%	1.2%	1.2%
Dividend payout	52.9%	60.5%	62.8%	63.2%	59.0%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	9.1%	9.1%	9.0%	8.8%	8.6%
						Cost/Assets	0.9%	1.0%	0.9%	0.9%	0.9%
						Assets/Equity	10.9	11.0	11.1	11.4	11.6

Source: Company reports and J.P. Morgan estimates.
Note: \$ in millions (except per-share data). Fiscal year ends Dec

▲ Neutral

Previous: Underweight

UOBH.SI, UOB SP

Price (27 Nov 25): S\$33.89

▲ **Price Target (Dec-26): S\$34.00**

Prior (Dec-26): S\$32.50

APAC Banks

Harsh Wardhan Modi ^{AC}

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ%
Adj. EPS - 25E (S\$)	3.28	2.73	-16.8

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2024A	2025E	2026E
Q1	0.87	0.88A	0.80
Q2	0.84	0.79A	0.77
Q3	0.95	0.25A	0.81
Q4	0.90	0.80	0.89
FY	3.56	2.73	3.27

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	1	1	1	1	10
Growth	31	25	37	31	64
Momentum	76	28	37	55	67
Quality	16	16	16	22	31
Low Vol	28	10	1	28	7
ESGQ	19	73	83	13	18

United Overseas Bank (UOB)

Not out of the woods, but too cheap to ignore, upgrade to Neutral

The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD-denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and the US over last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks. We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to see the stock actively underperforming. Key risks to our upgrade are higher than anticipated NPL formation, and yet another year of 40-50bps credit costs, leading to negative revisions.

Valuation

Table 18: UOB: Valuation

	Net Inc (\$ mn)	EPS (\$)	P/E (x)	BVPS (\$)	P/B (x)	Dividend (\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	2,825	1.69	20.0	23.0	1.47	0.78	2.3%	0.68%	1.25%	7.5%
2021	4,003	2.39	14.2	24.1	1.41	1.20	3.5%	0.90%	1.65%	10.2%
2022	4,485	2.68	12.6	24.2	1.40	1.35	4.0%	0.98%	1.73%	11.7%
2023	5,615	3.36	10.1	26.0	1.30	1.70	5.0%	1.16%	2.10%	14.2%
2024	5,946	3.56	9.5	28.1	1.21	2.05	6.0%	1.16%	2.22%	13.6%
2025E	4,530	2.73	12.4	28.5	1.19	1.83	5.4%	0.82%	1.67%	9.6%
2026E	5,369	3.27	10.4	29.9	1.13	1.64	4.8%	0.93%	1.84%	11.2%
2027E	5,965	3.68	9.2	31.8	1.06	1.84	5.4%	0.97%	1.93%	11.9%

Price (S\$)	33.89	Number of shares (mn)	1,663	Market Cap (S\$ mn)	56,372
--------------------	--------------	------------------------------	--------------	----------------------------	---------------

Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.62%	Risk-free rate	4.15%	Fair PE	9.39x
Non-IR/revenues	34.2%	Cost of capital	11.0%	12m Rolling EPS	S\$3.22
Cost/income	44.0%	Long term growth	4.10%	PE based 12M Fwd Fair Value	S\$30.2
Operating RoA	1.38%	Fair PB	1.08x	Implied Value of Growth	
LLP/Loans	-0.35%	PV of Terminal Value	S\$29.1	12m Rolling EPS	S\$3.22
Net RoAA	0.95%	PV of Dividends	S\$1.5	Capitalized Value (S\$)	\$29.38
Equity/Assets	8.3%	PV of today's Fair Value	S\$30.5	Value of Growth (S\$)	\$4.51
Normalised RoE	11.5%	PV of Dec-26E fair value	S\$34	Attributable to Growth	13.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 27th Nov, 2025.

Annual forecasts

Table 19: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	20,239	18,592	18,938
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(10,953)	(9,393)	(9,251)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	9,286	9,199	9,687
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,662	4,880	5,112
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,551	2,704	2,866
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,823	1,859	1,896
Other operating income	285	263	260	282	319	264	259	260	328	222	289	317	349
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	13,948	14,079	14,798
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,153)	(6,276)	(6,402)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	7,795	7,803	8,396
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(2,241)	(1,291)	(1,170)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	(23)	-	-
Other income	90	6	110	106	51	98	118	97	93	121	73	91	95
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	5,603	6,602	7,322
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(964)	(1,122)	(1,245)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(11)	(13)	(14)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	4,629	5,467	6,063
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	4,530	5,369	5,965

Source: Company reports and J.P. Morgan estimates.

Table 20: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.87%	1.76%	1.75%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.1%	90.1%	90.2%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.69%	1.59%	1.58%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	33.4%	34.7%	34.5%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.85%	0.84%	0.84%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.53%	2.43%	2.42%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	44.1%	44.6%	43.3%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.12%	1.08%	1.05%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.42%	1.35%	1.37%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.65%	-0.36%	-0.31%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	63.0%	62.5%	62.0%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.01%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.01%	1.12%	1.18%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.02%	1.14%	1.20%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-17.2%	-17.0%	-17.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.02%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	0.82%	0.93%	0.97%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	0.82%	0.93%	0.97%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	1.67%	1.84%	1.93%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.54%	8.27%	8.17%
Core ROE	11.3%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	9.6%	11.2%	11.9%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	9.6%	11.2%	11.9%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 21: UOB: Quarterly P&L

S\$ in million	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	5,692	5,947	5,855	5,706	5,791	5,907	5,630	5,042	4,802	4,766	4,665	4,600	4,649	4,678
Interest Expense	(3,263)	(3,543)	(3,493)	(3,305)	(3,331)	(3,456)	(3,221)	(2,706)	(2,537)	(2,490)	(2,420)	(2,329)	(2,325)	(2,318)
Net Interest Income	2,429	2,404	2,362	2,401	2,460	2,451	2,409	2,336	2,265	2,276	2,245	2,270	2,323	2,360
Non-Interest Income	1,027	1,007	1,161	1,075	1,374	1,010	1,248	1,129	1,133	1,152	1,190	1,213	1,249	1,229
Net Fee income	591	568	580	618	630	567	694	636	615	606	684	664	684	672
Trading income	375	363	521	406	709	367	466	414	479	464	427	469	483	480
Other operating income	61	76	60	51	35	76	88	79	39	83	78	80	82	77
Total Revenues	3,456	3,411	3,523	3,476	3,834	3,461	3,657	3,465	3,398	3,428	3,434	3,484	3,572	3,589
Costs	(1,416)	(1,473)	(1,475)	(1,452)	(1,590)	(1,558)	(1,559)	(1,535)	(1,535)	(1,524)	(1,539)	(1,571)	(1,595)	(1,572)
PPOP	2,040	1,938	2,048	2,024	2,244	1,903	2,097	1,930	1,863	1,904	1,895	1,913	1,977	2,017
Loan loss provisions	(151)	(203)	(186)	(194)	(281)	(212)	(290)	(279)	(1,361)	(311)	(287)	(363)	(366)	(276)
Other provisions	(91)	44	16	(44)	(30)	(23)	(7)	(9)	(7)	0	0	0	0	0
Other income	20	22	26	30	25	40	22	(3)	25	29	23	24	24	20
Pre-Tax	1,818	1,801	1,904	1,816	1,958	1,708	1,822	1,639	520	1,621	1,631	1,574	1,635	1,761
Tax	(305)	(370)	(317)	(307)	(299)	(219)	(310)	(317)	(82)	(255)	(277)	(268)	(278)	(299)
MI & EO	(34)	67	(22)	(22)	(22)	51	(22)	16	5	(10)	(10)	(9)	(10)	16
Core Profit	1,479	1,498	1,566	1,488	1,638	1,540	1,490	1,338	443	1,357	1,344	1,297	1,348	1,478
Attributable profit	1,382	1,404	1,487	1,424	1,610	1,523	1,490	1,338	443	1,357	1,344	1,297	1,348	1,478
Preference dividends	33	25	25	25	25	25	25	25	25	25	25	25	25	25
Core Profits for SHs	1,446	1,473	1,541	1,463	1,613	1,515	1,466	1,313	418	1,332	1,320	1,272	1,323	1,454
Profits for SHs	1,349	1,379	1,462	1,399	1,585	1,498	1,466	1,313	418	1,332	1,320	1,272	1,323	1,454

Source: Company reports and J.P. Morgan estimates.

Table 22: UOB: Quarterly DuPont

	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.09%	2.02%	2.02%	2.05%	2.05%	2.00%	2.00%	1.91%	1.82%	1.79%	1.77%	1.75%	1.75%	1.75%
IEA/Assets	90.3%	90.9%	90.5%	91.3%	90.2%	90.3%	90.8%	91.2%	90.3%	90.4%	90.7%	90.8%	90.7%	90.7%
Margins (% of avg. Assets)	1.89%	1.84%	1.83%	1.87%	1.85%	1.81%	1.82%	1.74%	1.65%	1.61%	1.61%	1.59%	1.58%	1.59%
Non-IR contribution	29.7%	29.5%	33.0%	30.9%	35.8%	29.2%	34.1%	32.6%	33.3%	33.6%	34.6%	34.8%	35.0%	34.2%
Non-IR/Avg. Assets	0.80%	0.78%	0.89%	0.83%	1.04%	0.75%	0.93%	0.84%	0.83%	0.82%	0.84%	0.85%	0.86%	0.83%
Revenue/Assets	2.71%	2.63%	2.71%	2.69%	2.90%	2.56%	2.72%	2.58%	2.49%	2.45%	2.43%	2.43%	2.45%	2.43%
Cost/Income	41.0%	43.2%	41.9%	41.8%	41.5%	45.0%	42.6%	44.3%	45.2%	44.5%	44.8%	45.1%	44.7%	43.8%
C/Assets	1.11%	1.13%	1.14%	1.13%	1.20%	1.15%	1.16%	1.14%	1.12%	1.09%	1.09%	1.10%	1.10%	1.06%
Pre-Provision ROA	1.60%	1.49%	1.58%	1.57%	1.70%	1.41%	1.56%	1.44%	1.36%	1.36%	1.34%	1.33%	1.36%	1.37%
LLP/Loans	-0.19%	-0.25%	-0.23%	-0.24%	-0.34%	-0.25%	-0.34%	-0.33%	-1.57%	-0.35%	-0.32%	-0.40%	-0.40%	-0.30%
Loan/Assets	62.4%	61.5%	62.0%	63.0%	62.5%	62.2%	63.1%	63.6%	63.5%	63.2%	63.1%	62.9%	62.6%	62.2%
Operating ROA	1.48%	1.34%	1.43%	1.42%	1.48%	1.25%	1.34%	1.23%	0.37%	1.14%	1.14%	1.08%	1.11%	1.18%
Pre-Tax ROA	1.42%	1.39%	1.47%	1.41%	1.48%	1.27%	1.36%	1.22%	0.38%	1.16%	1.15%	1.10%	1.12%	1.19%
Tax Rate	-16.8%	-20.5%	-16.6%	-16.9%	-15.2%	-12.8%	-17.0%	-19.3%	-15.8%	-15.7%	-17.0%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.03%	0.05%	-0.02%	-0.02%	-0.02%	0.04%	-0.02%	0.01%	0.00%	-0.01%	-0.01%	-0.01%	-0.01%	0.01%
Core ROA	1.13%	1.13%	1.19%	1.13%	1.22%	1.12%	1.09%	0.98%	0.31%	0.95%	0.93%	0.89%	0.91%	0.98%
ROA	1.06%	1.06%	1.13%	1.08%	1.20%	1.11%	1.09%	0.98%	0.31%	0.95%	0.93%	0.89%	0.91%	0.98%
RoRWA	2.02%	2.02%	2.12%	2.00%	2.36%	2.34%	2.22%	1.96%	0.62%	1.92%	1.87%	1.78%	1.82%	1.96%
Equity/Assets	8.19%	8.19%	8.49%	8.66%	8.54%	8.60%	8.89%	8.95%	8.65%	8.40%	8.31%	8.28%	8.24%	8.18%
Core ROE	13.8%	13.9%	14.0%	13.1%	14.3%	13.1%	12.3%	10.9%	3.5%	11.3%	11.2%	10.7%	11.0%	12.0%
ROE	12.9%	13.0%	13.3%	12.5%	14.0%	12.9%	12.3%	10.9%	3.5%	11.3%	11.2%	10.7%	11.0%	12.0%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-6.7%	-2.6%	-3.4%	-6.7%
Rel	-25.8%	-4.1%	-9.6%	-28.3%

Company Data

Shares O/S (mn)	1,653
52-week range (\$\$)	38.64-28.59
Market cap (\$ mn)	43,170
Exchange rate	1.30
Free float (%)	86.0%
3M ADV (mn)	3.13
3M ADV (\$ mn)	83.6
Volatility (90 Day)	11
Index	FTSTI
BBG ANR (Buy Hold Sell)	6 10 1

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	9,286	9,199	9,687
Non interest income	4,620	4,662	4,880	5,112
Operating expenses	(6,074)	(6,153)	(6,276)	(6,402)
Adj. PPOP	8,220	7,795	7,803	8,396
Provision for loan losses	(873)	(2,241)	(1,291)	(1,170)
Adj. PBT	7,199	5,603	6,602	7,322
Adj. net income	5,946	4,530	5,369	5,965
Adj. EPS	3.56	2.73	3.27	3.68
BBG EPS	3.59	2.94	3.44	3.68
DPS	2.05	1.83	1.64	1.84
Loans	333,930	350,814	363,528	383,941
Deposits	403,978	427,862	452,525	476,387
Total Assets	537,664	563,130	595,797	628,262
Margins and Growth				
NIM	2.0%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	82.7%	82.0%	80.3%	80.6%
NPL / Loans	1.5%	1.6%	1.8%	1.8%
Coverage	75.5%	83.9%	83.2%	85.0%
CET 1	15.5%	14.3%	14.0%	14.0%
Non-int. income/ Income	32.3%	33.4%	34.7%	34.5%
Cost/Income	42.5%	44.1%	44.6%	43.3%
LLP/Loans	(0.3%)	(0.6%)	(0.4%)	(0.3%)
ROA	1.1%	0.8%	0.9%	1.0%
ROE	13.1%	9.6%	11.2%	11.9%
Valuation				
Dividend yield	6.0%	5.4%	4.8%	5.4%
Adj. P/E	9.5	12.4	10.4	9.2
P/ BV	1.21	1.19	1.13	1.06

Summary Investment Thesis and Valuation

Investment Thesis

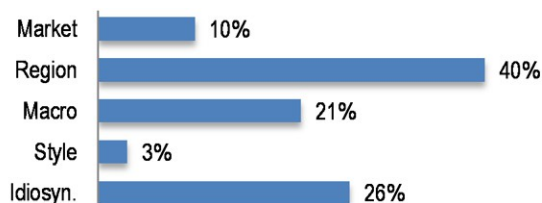
We are Neutral on UOB.

- The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD-denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks.
- We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to see the stock actively underperforming.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This could limit the upside for the stock.

Valuation

Our Dec-26 PT of S\$34 is based on a fair P/B of 1.08x with a normalized RoE of 11.5%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.41
Region: Singapore	0.72	0.78
Macro:		
HSI Volatility Index	-0.58	-0.50
JP Morgan EMBI Global Spread	-0.43	-0.28
JPM China A-shares Sentiment	-0.06	-0.25
Quant Styles:		
Growth	-0.09	0.15
Momentum	-0.14	0.14
Size	-0.15	0.07

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Neutral; Price Target: S\$34.00)*

Investment Thesis

We are Neutral on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality is incrementally showing up as a risk.
- The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD-denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to see the stock actively underperforming.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This could limit the upside for the stock.
- Key risks include higher than anticipated NPL formation, and yet another year of 40-50bps credit costs, leading to negative revisions.

Valuation

Our Dec-26 PT of S\$34 is based on a fair P/B of 1.08x with a normalized RoE of 11.5%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Risks to Rating and Price Target

Upside risks include better-than-expected delivery on AQ, with sustained normalization of NPA formation and credit costs. On PPOP, the bank's ability to manage wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs.

Downside risks include credit cost increases, growth and NIM disappointments, and lower-than-expected dividends and buybacks. Higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	20,239	18,592	18,938	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(10,953)	(9,393)	(9,251)	Deposits with banks	87,443	76,009	66,731	71,876	76,213
Net interest income	9,679	9,674	9,286	9,199	9,687	Net loans	317,005	333,930	350,814	363,528	383,941
Non interest income	4,253	4,620	4,662	4,880	5,112	PP&E	4,508	4,852	5,240	5,502	5,722
o/w Fee income	2,235	2,395	2,551	2,704	2,866	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,823	1,859	1,896	LT investments	90,339	96,625	111,119	124,453	130,676
Net revenues	13,932	14,294	13,948	14,079	14,798	Other assets	19,241	21,269	24,247	25,459	26,732
Non interest expense	(5,777)	(6,074)	(6,153)	(6,276)	(6,402)	Total assets	523,520	537,664	563,130	595,797	628,262
o/w Employee costs	(3,553)	(3,699)	(3,625)	(3,698)	(3,771)	Interest earning assets	498,932	510,465	533,561	565,308	596,864
Pre-Prov. Profits	8,155	8,220	7,795	7,803	8,396	Deposits	385,469	403,978	427,862	452,525	476,387
Provisions	(784)	(873)	(2,241)	(1,291)	(1,170)	Borrowings	68,651	61,102	59,246	63,911	68,458
Adj. PBT	6,953	7,199	5,603	6,602	7,322	Other liabilities	25,680	25,375	28,769	30,330	31,985
Income taxes	(1,228)	(1,140)	(964)	(1,122)	(1,245)	Total liabilities	479,800	490,455	515,876	546,766	576,830
Minority interest	(14)	(14)	(11)	(13)	(14)	Shareholder equity	43,478	46,985	47,030	48,808	51,208
Adj. Net profit	5,615	5,946	4,530	5,369	5,965	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	4.69	4.76	5.19	Total liabilities and Shareholder equity	523,520	537,664	563,130	595,797	628,262
Reported EPS	3.36	3.56	2.73	3.27	3.68	Interest bearing liabilities	454,120	465,080	487,107	516,435	544,845
Adj. EPS	3.36	3.56	2.73	3.27	3.68	Book Value Per Share	26.00	28.11	28.47	29.95	31.84
DPS	1.70	2.05	1.83	1.64	1.84	Tangible Book Value Per Share	25.85	27.98	28.34	29.81	31.70
Diluted shares outstanding	1,674	1,672	1,662	1,641	1,619						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	82.0%	80.3%	80.6%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.4%)	(1.5%)	(1.5%)
Investment/Assets	15.9%	17.6%	18.9%	20.3%	20.8%	NPLs/Loans	1.5%	1.5%	1.6%	1.8%	1.8%
Loan/Assets	62.3%	62.1%	63.0%	62.5%	62.0%	Loan loss reserves/NPLs	85.1%	80.2%	80.0%	83.5%	84.1%
Customer deposits/Liabilities	80.3%	82.4%	82.9%	82.8%	82.6%	NPL y/y growth	(3.8%)	6.0%	13.1%	12.2%	8.4%
LT debt/Liabilities	14.2%	13.4%	12.0%	11.6%	11.8%	Tier 1 ratio	14.4%	16.6%	14.3%	14.0%	14.0%
						CAR	16.6%	18.2%	15.9%	15.4%	15.4%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	1.9%	1.8%	1.8%	Return on equity (ROE)	13.4%	13.1%	9.6%	11.2%	11.9%
Non interest income/Net revenue	30.5%	32.3%	33.4%	34.7%	34.5%	Return on assets (ROA)	1.1%	1.1%	0.8%	0.9%	1.0%
Non interest income/Avg. Assets	0.8%	0.9%	0.8%	0.8%	0.8%	Operating ROA	1.4%	1.4%	1.0%	1.1%	1.2%
Efficiency ratio	41.5%	42.5%	44.1%	44.6%	43.3%	Pre-Tax ROA	1.4%	1.4%	1.0%	1.1%	1.2%
Leverage ratio	7.8%	8.1%	7.3%	7.3%	7.3%	Pre-Provision ROA	1.6%	1.5%	1.4%	1.3%	1.4%
Revenue/Assets	2.7%	2.7%	2.5%	2.4%	2.4%	Tax rate	17.7%	15.8%	17.2%	17.0%	17.0%
RORWA	2.1%	2.2%	1.7%	1.8%	1.9%						
RWA	275,930	259,835	281,565	300,878	317,272	Net loans y/y growth	0.5%	5.3%	5.1%	3.6%	5.6%
Avg. RWA	267,514	267,883	270,700	291,221	309,075	Assets y/y growth	3.8%	2.7%	4.7%	5.8%	5.4%
Avg. IEA	462,994	476,735	495,912	521,963	552,032	RWA y/y growth	6.5%	(5.8%)	8.4%	6.9%	5.4%
Gross Loans	321,150	337,831	355,711	368,979	389,976	Deposits y/y growth	4.6%	4.8%	5.9%	5.8%	5.3%
Avg. IBL	434,135	434,135	449,715	473,970	501,239	Net interest income y/y growth	16.0%	(0.1%)	(4.0%)	(0.9%)	5.3%
LLR	(4,145)	(3,901)	(4,897)	(5,450)	(6,035)	Revenues y/y growth	20.4%	2.6%	(2.4%)	0.9%	5.1%
NPLs	4,870	5,164	5,840	6,551	7,105	Adj. EPS y/y growth	25.2%	6.0%	(23.3%)	20.0%	12.6%
P/BV (x)	1.30	1.21	1.19	1.13	1.06	BVPS y/y growth	7.3%	8.1%	1.3%	5.2%	6.3%
Adj. P/E (x)	10.1	9.5	12.4	10.4	9.2	IE assets/Assets	90.1%	89.8%	90.1%	90.1%	90.2%
Dividend yield	5.0%	6.0%	5.4%	4.8%	5.4%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.6%	1.5%	1.5%
Dividend payout	50.7%	57.6%	67.0%	50.0%	50.0%	LLP/Loans	(0.2%)	(0.3%)	(0.6%)	(0.4%)	(0.3%)
						Equity/Assets	8.2%	8.5%	8.5%	8.3%	8.2%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	12.2	11.7	11.7	12.1	12.2

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

▲ Overweight

Previous: Neutral

SGXL.SI, SGX SP

Price (27 Nov 25): S\$16.60

▲ **Price Target (Dec-26): S\$18.50**

Prior (Dec-26): S\$16.00

APAC Banks

Harsh Wardhan Modi ^{AC}

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Jun)

	Prev	Cur	Δ%
Adj. EPS - 26E (S\$)	0.64	0.66	4.0
Adj. EPS - 27E (S\$)	0.69	0.72	4.6

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	98	98	98	95	85
Growth	25	28	40	13	13
Momentum	10	10	7	37	34
Quality	4	1	1	1	1
Low Vol	73	55	7	13	16
ESGQ	21	8	5	5	7

Singapore Exchange

Lynchpin of Singapore as a financial centre, upgrade to OW

The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of recent initiatives. These should lead to volume strength (S\$1.6/1.7/1.8bn ADV in FY26-28E) and earnings (JPMe 8% 3Y CAGR). The stock has gained 33% YTD on 11% EPS revision. We see 6-7% further upside to Street EPS. Despite guidance of steadily increasing DPS, we see scope for further upside, as the payout is sub-70% on current guidance. We upgrade SGX to OW with a Dec-26 PT of S\$18.5.

Valuation

Table 23: SGX: Valuation

ADT	12 month fwd		EPS	16.60	PE Multiples					Yield	Velocity
Assumptions	Net Profit	EPS	Sensitivity	Curr P/E	20.5	24.7	26.8	28.9	31.0		with
\$S mn	\$S mn	\$S	%	x	Mean	+1 SD	+1.5 SD	+2 SD	+2.5 SD	STI @ 4509	
2,100	920	0.85	25%	19.5	17.5	21.1	22.9	24.7	26.5	3.2%	51%
2,050	894	0.83	21%	20.0	17.0	20.5	22.2	24.0	25.7	3.1%	49%
2,000	869	0.81	18%	20.6	16.5	19.9	21.6	23.3	25.0	3.0%	48%
1,950	844	0.78	14%	21.2	16.1	19.3	21.0	22.6	24.3	3.0%	47%
1,900	819	0.76	11%	21.9	15.6	18.8	20.4	22.0	23.6	2.9%	46%
1,850	794	0.74	8%	22.5	15.1	18.2	19.8	21.3	22.9	2.8%	45%
1,800	769	0.71	4%	23.3	14.6	17.6	19.1	20.6	22.1	2.7%	43%
1,750	745	0.69	1%	24.0	14.2	17.1	18.5	20.0	21.4	2.6%	42%
1,736	738	0.68	0%	24.3	14.0	16.9	18.4	19.8	21.2	2.6%	42%
1,650	695	0.64	-6%	25.7	13.2	15.9	17.3	18.7	20.0	2.4%	40%
1,600	671	0.62	-9%	26.7	12.8	15.4	16.7	18.0	19.3	2.4%	39%
1,550	647	0.60	-12%	27.7	12.3	14.8	16.1	17.4	18.6	2.3%	37%
1,500	622	0.58	-16%	28.8	11.8	14.3	15.5	16.7	17.9	2.2%	36%
1,450	598	0.55	-19%	29.9	11.4	13.7	14.9	16.1	17.2	2.1%	35%
1,400	574	0.53	-22%	31.2	10.9	13.2	14.3	15.4	16.5	2.0%	34%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 27th Nov, 2025.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual earnings

Table 24: SGX: Annual earnings

S\$'000	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Fixed Income, Currencies and Commodities	138,991	171,414	211,754	252,745	338,166	322,497	350,059	399,299	442,173
Equities	668,287	759,680	701,089	698,867	709,183	668,982	771,965	836,480	883,668
Data, Connectivity and Indices	102,530	121,604	143,110	147,429	147,059	240,196	248,601	261,996	274,514
Operating revenue	909,808	1,052,698	1,055,953	1,099,041	1,194,408	1,231,675	1,370,625	1,497,775	1,600,355
Staff	(191,337)	(215,172)	(236,194)	(250,954)	(276,159)	(291,730)	(300,860)	(316,142)	(334,322)
Technology	(79,391)	(68,937)	(74,397)	(81,343)	(88,094)	(90,965)	(92,452)	(97,034)	(101,844)
Processing and royalties	(47,258)	(53,739)	(62,937)	(69,216)	(73,116)	(69,647)	(72,458)	(75,356)	(78,371)
Premises	(19,892)	(9,879)	(9,656)	(9,997)	(9,801)	(10,380)	(10,255)	(10,563)	(10,880)
Professional fees	(14,603)	(13,394)	(16,971)	(15,788)	(18,344)	(17,320)	(18,880)	(19,446)	(20,030)
Others	(33,798)	(35,921)	(30,561)	(37,637)	(41,029)	(49,398)	(47,961)	(50,007)	(52,148)
Operating expenses	(448,791)	(486,904)	(525,239)	(561,593)	(604,865)	(625,293)	(627,782)	(656,861)	(689,439)
Operating profits	461,017	565,794	530,714	537,448	589,543	606,382	742,843	840,914	910,916
Other gains/(losses)	13,468	7,455	10,048	17,674	99,836	117,101	59,746	36,023	41,186
Share of JV & associates	(1,500)	(2,301)	(4,286)	(10,534)	(15,557)	(14,466)	(16,698)	(13,358)	(12,023)
PBT	472,985	570,948	536,476	544,588	673,822	709,017	785,891	863,579	940,080
Tax	(81,887)	(98,963)	(90,699)	(92,687)	(103,257)	(111,439)	(137,764)	(151,382)	(164,793)
Non-controlling interests	-	(170)	(371)	(503)	330	329	(144)	(158)	(172)
Attributable net profits	391,098	471,815	445,406	451,398	570,895	597,907	647,983	712,038	775,115
Operating profit margin	51%	54%	50%	49%	49%	49%	54%	56%	57%
Basic EPS (cents)	36.5	44.1	41.6	42.2	53.4	55.9	60.6	66.5	72.3
Key Parameters									
ADT - Securities (S\$ mn)	-	1,318	1,350	1,273	1,102	1,059	1,345	1,615	1,749
ADT - Derivatives	-	966,883	922,592	985,075	1,003,849	1,086,576	1,263,348	1,421,748	1,540,675

Source: Company reports and J.P. Morgan estimates.

Quarterly earnings

Table 25: SGX: Quarterly earnings

Income Statement (S\$'000)	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Fixed Income, Currencies and Commodities	88,162	84,747	85,128	92,022	96,195	98,139	101,938	103,027
Equities	192,471	194,598	188,158	196,738	210,989	207,631	207,255	210,605
Data, Connectivity and Indices	60,713	61,536	62,767	63,585	64,446	65,090	66,392	66,067
Operating revenue	341,346	340,881	336,053	352,345	371,630	370,861	375,585	379,699
Staff	(75,065)	(73,884)	(77,507)	(74,404)	(74,596)	(76,600)	(80,556)	(84,390)
Technology	(23,010)	(21,410)	(21,734)	(26,298)	(24,663)	(24,768)	(25,062)	(22,540)
Processing and royalties	(18,662)	(17,206)	(17,550)	(19,040)	(19,230)	(19,422)	(19,616)	(17,088)
Premises	(2,506)	(2,458)	(2,557)	(2,734)	(2,488)	(2,538)	(2,589)	(2,947)
Professional fees	(4,291)	(3,027)	(5,146)	(6,416)	(5,133)	(5,390)	(5,659)	(3,265)
Others	(29,742)	(27,499)	(34,051)	(50,547)	(34,175)	(34,757)	(34,066)	(35,322)
Operating expenses	(153,387)	(145,593)	(158,544)	(170,258)	(160,285)	(163,476)	(167,549)	(165,551)
Operating profits	187,959	195,288	177,508	182,088	211,344	207,385	208,037	214,148
Other gains/(losses)	22,252	22,570	20,313	20,911	14,638	16,102	16,907	3,981
Share of JV & associates	(2,773)	(2,213)	(5,754)	(5,958)	(3,277)	(3,441)	(3,303)	(3,338)
PBT	202,978	211,570	188,093	183,250	218,465	216,018	217,813	211,283
Tax	(36,536)	(37,889)	(30,095)	(33,244)	(38,231)	(37,803)	(38,117)	(37,231)
Non-controlling interests	(63)	(63)	(11)	(7)	(39)	(39)	(39)	(41)
Attributable net profits	166,379	173,618	157,987	149,999	180,194	178,176	179,657	174,011
Operating profit margin	55%	57%	53%	52%	57%	56%	55%	56%
Basic EPS (cents)	15.5	16.2	14.8	14.0	16.8	16.6	16.8	16.2
Key Parameters								
ADT - Securities (S\$ mn)	1,339	1,186	1,335	1,533	1,550	1,593	1,641	1,680
ADT - Derivatives	1,202,374	1,239,777	1,281,650	1,334,436	1,341,919	1,382,944	1,502,646	1,466,578

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	30.3%	-4.5%	0.9%	30.4%
Rel	11.2%	-6.1%	-5.3%	8.8%

Company Data

Shares O/S (mn)	1,071
52-week range (\$S)	17.89-11.50
Market cap (\$ mn)	13,698
Exchange rate	1.30
Free float (%)	100.0%
3M ADV (mn)	2.49
3M ADV (\$ mn)	32.3
Volatility (90 Day)	17
Index	FTSTI
BBG ANR (Buy Hold Sell)	8 5 4

Key Metrics (FYE Jun)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
ADV - Equities	1,345	1,615	1,749	1,819
ADV - Derivatives	-	-	-	-
Total revenue	1,371	1,498	1,600	1,692
Operating expense	(628)	(657)	(689)	(727)
Adj. EBITDA	888	965	1,044	1,108
Adj. EBIT	803	877	952	1,012
Adj. net income	648	712	775	826
Adj. EPS	0.60	0.66	0.72	0.76
BBG EPS	0.59	0.63	0.68	-
DPS	0.38	0.45	0.51	0.57
Margins and Growth				
Total revenue growth	11.3%	9.3%	6.8%	5.7%
EBIT margin	58.6%	58.5%	59.5%	59.8%
Net margin	47.3%	47.5%	48.4%	48.8%
Adj. EPS growth	10.5%	9.7%	8.6%	6.3%
Ratios				
Adj. tax rate	17.5%	17.5%	17.5%	17.5%
Dividend payout	62.2%	68.5%	71.1%	74.7%
Net debt/Equity	NM	NM	NM	-
Net debt/EBITDA	NM	NM	NM	-
ROA	15.9%	15.4%	14.8%	14.9%
ROE	31.1%	30.7%	30.2%	29.5%
Valuation				
Dividend yield	2.3%	2.7%	3.1%	3.4%
Adj. P/E	27.5	25.1	23.1	21.8
P/BV	8.1	7.3	6.7	6.2

Summary Investment Thesis and Valuation

Investment Thesis

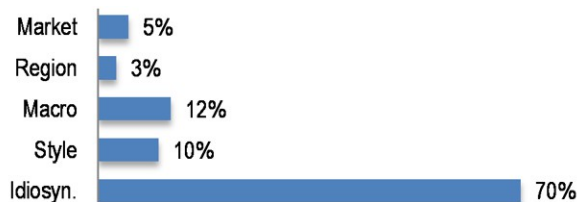
We are OW on SGX.

- The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of recent initiatives. These should lead to volume strength (\$S1.6/1.7/1.8bn ADV in FY26-28E) and earnings (JPMc 8% 3Y CAGR).
- SGX has guided for a consistent increase in DPS to 44.5c/48.5c/52.5c over the next 3Y. Yet, payouts remain in the ~70% range. We see the possibility of the bourse increasing DPS beyond guidance as growth comes through.
- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. We think this will allow the exchange to sustain dividends and to lever up for inorganic growth if required.

Valuation

Our Dec-26 PT of \$S18.5 is based on a mean dynamic P/E of 26.8x, 1.5SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.35	0.21
Region: Singapore	0.52	0.23
Macro:		
Citi Economic Surprise - EM	0.11	0.31
JPM China A-shares Sentiment	-0.25	-0.22
US 10 Year Yield	-0.09	-0.19
Quant Styles:		
Momentum	-0.08	0.18
Quality	-0.23	-0.16
DivYld	-0.08	-0.14

Investment Thesis, Valuation and Risks

Singapore Exchange *(Overweight; Price Target: S\$18.50)*

Investment Thesis

We are OW on SGX.

- The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of recent initiatives. These should lead to volume strength (S\$1.6/1.7/1.8bn ADV in FY26-28E) and earnings (JPMe 8% 3Y CAGR).
- SGX has guided for a consistent increase in DPS to 44.5c/48.5c/52.5c over the next 3Y. Yet, payouts remain in the ~70% range. We see the possibility of the bourse increasing DPS beyond guidance as growth comes through.
- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. We think this will allow the exchange to sustain dividends and to lever up for inorganic growth if required.
- The bourse has a relatively diversified business model, with FICC, equities and equity derivatives contributing almost equally to the bottom line. Within these, FICC has been a source of growth post acquisitions, with the bourse successfully growing beyond its US\$100bn ADV target on OTC FX.
- SGX is open to M&A to build capacity in newer segments, as it has done in the recent past. The strategy is to go with “fill the gap” deals, rather than anything transformational, which, in any case, we think would be tough to execute.

Valuation

Our Dec-26 PT of S\$18.5 is based on a mean dynamic P/E of 26.8x, 1.5SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands. This allows us to assess objectively whether the stock has re- or de-rated. The implied volume metric gauges what the stock price implies for the next 12 months' average turnover.

Risks to Rating and Price Target

Upside catalysts include: (1) a sharp increase in the dividend payout; (2) a further revival of the IPO pipeline; (3) better-than-expected derivatives volumes; (4) sustained strength in equity volumes; (5) accelerated growth in FICC; and (6) sustained inflows into Singapore.

Downside risks include: (1) declines in equity volumes; (2) weak volumes of F&O; (3) a deceleration in FX growth; and (4) weaker-than-expected commodities volumes. In addition, the high bar for inorganic growth suggests that any large deal would likely be met with initial skepticism, unless and until proven otherwise. Hence, M&A is a potential downside catalyst for the stock.

Singapore Exchange: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Total revenue	1,232	1,371	1,498	1,600	1,692	Cash flow from operating activities	616	842	743	828	894
o/w Trading revenues	1,232	1,371	1,498	1,600	1,692	o/w Depreciation & amortization	96	85	88	92	96
SG&A	(529)	(543)	(569)	(598)	(632)	o/w Changes in working capital	(15)	185	(87)	(70)	(63)
o/w Compensation expense	(292)	(301)	(316)	(334)	(356)	Cash flow from investing activities	(138)	(266)	(40)	(39)	(37)
o/w Non-compensation expense	-	-	-	-	-	o/w Capital expenditure	(277)	(645)	(92)	(96)	(100)
Adj. EBITDA	819	888	965	1,044	1,108	Cash flow from financing activities	(460)	(449)	(503)	(566)	(632)
D&A	(96)	(85)	(88)	(92)	(96)	o/w Dividends paid	(365)	(385)	(485)	(547)	(612)
Adj. EBIT	723	803	877	952	1,012	o/w Share issue/(buyback)	0	0	0	0	0
Net Interest	-	-	-	-	-	o/w Net debt issued/(repaid)	-	-	-	-	-
Other income / (expense)	-	-	-	-	-	Net change in cash	18	126	200	223	224
Adj. PBT	709	786	864	940	1,001	Adj. Free cash flow to firm	339	196	651	733	794
Tax	(111)	(138)	(151)	(165)	(176)	y/y Growth	167.4%	(42.1%)	231.6%	12.5%	8.4%
Adj. Net Income	598	648	712	775	826						
Reported EPS	0.55	0.60	0.66	0.72	0.76						
Adj. EPS	0.55	0.60	0.66	0.72	0.76						
DPS	0.35	0.38	0.45	0.51	0.57						
Payout ratio	63.3%	62.2%	68.5%	71.1%	74.7%						
Shares outstanding	1,096	1,075	1,078	1,080	1,082						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	998	1,130	1,969	2,192	2,416	EBITDA margin	66.5%	64.8%	64.4%	65.2%	65.4%
Accounts receivable	1,113	936	1,023	1,093	1,156	EBIT margin	58.7%	58.6%	58.5%	59.5%	59.8%
Other current assets	0	6	6	6	6	Net profit margin	48.5%	47.3%	47.5%	48.4%	48.8%
Current assets	2,112	2,072	2,997	3,290	3,577	ROE	32.6%	31.1%	30.7%	30.2%	29.5%
PP&E	68	76	80	84	88	ROA	15.4%	15.9%	15.4%	14.8%	14.9%
Other non current assets	1,036	1,255	1,262	1,269	1,276	ROCE	33.3%	31.8%	31.2%	30.6%	29.8%
Total assets	3,985	4,144	5,080	5,384	5,683	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	0	0	0	0	-	P/E (x)	30.4	27.5	25.1	23.1	21.8
Payables	1,078	1,029	1,077	1,131	1,192	P/BV (x)	9.3	8.1	7.3	6.7	6.2
Other short term liabilities	160	181	828	833	839	EV/EBITDA (x)	20.9	18.7	16.4	15.0	14.0
Current liabilities	1,238	1,211	1,905	1,963	2,031	Dividend yield	2.1%	2.3%	2.7%	3.1%	3.4%
Long-term debt	0	0	0	0	-	Tax rate	15.7%	17.5%	17.5%	17.5%	17.5%
Other long term liabilities	785	734	734	734	734	Revenue y/y growth	3.1%	11.3%	9.3%	6.8%	5.7%
Total liabilities	2,024	1,944	2,639	2,697	2,765	EBITDA y/y growth	4.0%	8.3%	8.8%	8.2%	6.1%
Shareholders' equity	1,961	2,200	2,441	2,688	2,918	Adj. Net Income y/y growth	4.7%	8.4%	9.9%	8.9%	6.5%
Minority interests	-	-	-	-	-	EPS y/y growth	5.5%	10.5%	9.7%	8.6%	6.3%
Total liabilities & equity	3,985	4,144	5,080	5,384	5,683	DPS y/y growth	6.2%	8.7%	20.7%	12.7%	11.8%
BVPS	1.79	2.05	2.27	2.49	2.70	Consolidated volumes (ADV)	-	-	-	-	-
y/y growth	16.0%	14.4%	10.7%	9.8%	8.3%	Volume growth (YoY)	(3.9%)	27.0%	20.0%	8.3%	4.0%
Net debt/(cash)	(998)	(1,130)	(1,969)	(2,192)	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities.
- **Manager or Co-manager:** J.P. Morgan acted as manager or co-manager in a public offering of securities or financial instruments (as such term is defined in Directive 2014/65/EU) of/for OCBC Bank or related entities within the past 12 months.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: OCBC Bank or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from OCBC Bank or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from OCBC Bank or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of DBS Group Holdings, OCBC Bank, United Overseas Bank (UOB), Singapore Exchange or related entities, if any.

An analyst listed on the front cover has personal holdings in digital or crypto assets.

Company-Specific Disclosures: Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



Date	Rating	Price (\$\$)	Price Target (\$\$)
09-Mar-23	N	30.64	31
30-Mar-23	UW	30.54	27
05-Oct-23	UW	30.20	28
09-Dec-23	UW	28.73	27.5
13-Mar-24	N	30.46	30
03-Jul-24	OW	37.10	41
06-Oct-24	OW	38.04	42
10-Nov-24	OW	42.40	50
11-Feb-25	OW	45.38	51
23-Mar-25	OW	45.31	49
21-May-25	N	44.38	47
13-Jul-25	N	45.99	48
08-Aug-25	N	49.75	50.5
10-Sep-25	OW	50.88	56

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

OCBC Bank (OCBC.SI, OCBC SP) Price Chart



Date	Rating	Price (\$\$)	Price Target (\$\$)
06-Jan-23	OW	12.44	14
09-Mar-23	OW	12.55	13.5
30-Mar-23	UW	12.53	11.5
13-Mar-24	UW	13.09	12.5
10-May-24	NR	13.91	--
13-Jul-25	N	16.89	18
08-Aug-25	N	17.09	17.5
10-Sep-25	N	16.76	17

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Feb 24, 2000. All share prices are as of market close on the previous business day.

United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



Date	Rating	Price (\$\$)	Price Target (\$\$)
30-Mar-23	N	29.95	28.5
05-Oct-23	N	28.07	28
09-Dec-23	N	27.58	27
13-Mar-24	N	28.28	30
03-Jul-24	N	31.65	32.5
06-Oct-24	N	31.86	34
10-Nov-24	OW	35.69	41
14-Jan-25	OW	36.80	43
23-Mar-25	N	37.95	40
21-May-25	N	35.40	37
13-Jul-25	N	36.86	38
08-Aug-25	N	35.81	36.5
10-Sep-25	UW	35.57	32.5

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Singapore Exchange (SGXL.SI, SGX SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
29-Nov-23	N	9.39	10
20-May-24	OW	9.24	10.5
22-Aug-24	N	10.60	10.5
12-Sep-24	UW	11.76	10.5
06-Oct-24	UW	11.68	11
28-Jan-25	UW	12.23	11.1
13-Feb-25	UW	13.66	11
09-Apr-25	N	12.02	11
27-Apr-25	UW	14.36	12.8
16-Jul-25	UW	15.67	14
10-Sep-25	N	16.35	16

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 17, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Modi, Harsh Wardhan: AMMB Holdings (AMMB.KL), Bangkok Bank (BBL.BK), Bank Central Asia (BCA) (BBCA.JK), Bank Jago (ARTO.JK), Bank Negara Indonesia Persero (BBNI.JK), Bank Rakyat Indonesia (BBRI.JK), Bursa Malaysia (BMYS.KL), CIMB Group Holdings (CIMB.KL), DBS Group Holdings (DBSM.SI), DLF Limited (DLF.NS), Embassy Office Parks (EMBA.NS), Godrej Properties (GODR.NS), HDFC Asset Management (HDFC.NS), Hong Kong Exchanges & Clearing (0388) (0388.HK), Hong Leong Bank (HLBB.KL), KFin Technologies Ltd. (KFIN.NS), Kasikornbank PCL (KBANK.BK), Krung Thai Bank (KTB.BK), Lodha Developers (MACE.NS), Maybank (Malayan Banking) (MBBM.KL), Muangthai Capital (MTC.BK), Nexus Select Trust (NEXE.NS), OCBC Bank (OCBC.SI), Oberoi Realty (OEBO.NS), PT Bank Mandiri Tbk. (BMRI.JK), Phoenix Mills (PHOE.NS), Prestige Estates Projects Limited (PREG.NS), Public Bank (PUBM.KL), RHB Bank Bhd (RHBC.KL), SCB X PCL (SCB.BK), Singapore Exchange (SGXL.SI), Srisawad Corporation PCL (SAWAD.BK), TIDLOR Holdings PCL (TIDLOR.BK), TMBThanachart Bank PCL (TTB.BK), Tisco Financial Group PCL (TISCO.BK), United Overseas Bank (UOB) (UOBH.SI)

J.P. Morgan Equity Research Ratings Distribution, as of October 04, 2025

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	50%	38%	12%
IB clients**	50%	48%	35%
JPMS Equity Research Coverage*	48%	40%	12%
IB clients**	73%	69%	52%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation

are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan,

including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC).

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website:

<http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Pranav Sata; pranav.d.sata@jpmchase.com; +912261573209. Grievance Officer: Ramprasadh K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V. and J.P. Morgan Grupo Financiero are members of the Mexican Stock Exchange and are authorized to act as a broker dealer by the National Banking and Securities Exchange Commission.

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission, and its registered address is 3rd Floor, 20 North Sathorn Road, Silom, Bangkok, Bangkok 10500.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as

"UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2025. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2025 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised November 08, 2025.

Copyright 2025 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party. It is permissible to use J.P. Morgan Data for internal business purposes only in an AI system or model that protects the confidentiality of J.P. Morgan Data so as to prevent any and all access to or use of such J.P. Morgan Data by any third-party.

Completed 28 Nov 2025 01:54 AM HKT

Disseminated 28 Nov 2025 01:54 AM HKT